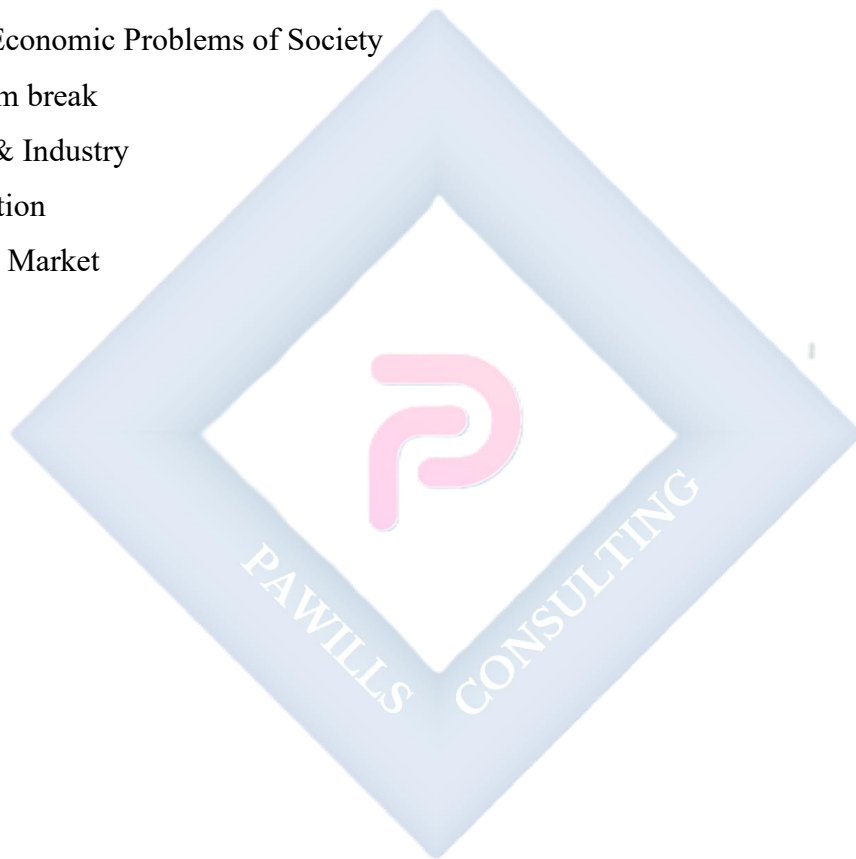


SS1 ECONOMICS LESSON NOTES

FIRST TERM

1. Meaning of Economics and Related Concepts
2. Basic Tools of Economic Analysis
3. Concept of Demand and Supply
4. Theory of Production
5. Midterm Examination
6. Basic Economic Problems of Society
7. Midterm break
8. Firms & Industry
9. Population
10. Labour Market



WEEK 1: MEANING OF ECONOMICS AND RELATED CONCEPTS

MEANING OF ECONOMICS

The English word *economics* is derived from the ancient Greek word *oikonomia*—meaning the management of a family or a household. It is thus clear that the subject economics was first studied in ancient Greece.

What was the study of household management to Greek philosophers like Aristotle (384-322 BC) was the “study of wealth” to the mercantilists in Europe between the sixteenth and eighteenth centuries. Economics, as a study of wealth, received great support from the Father of Economics, Adam Smith, in the late eighteenth century.

Since then, the subject has evolved significantly, and the Greek or Smithian definition no longer suffices. Over time, the focus of economics has shifted, leading to different definitions. These definitions can be grouped into three categories:

1. **Smith’s Wealth Definition**
2. **Marshall’s Welfare Definition**
3. **Robbins’ Scarcity Definition**

ADAM SMITH’S WEALTH DEFINITION

The formal definition of economics can be traced back to Adam Smith (1723-90), a great Scottish economist. Following the mercantilist tradition, Smith regarded economics as a **science of wealth**, studying the processes of production, consumption, and accumulation of wealth.

His emphasis on wealth as the subject matter of economics is evident in his book *An Inquiry into the Nature and Causes of the Wealth of Nations* (commonly known as *Wealth of Nations*), published in 1776.

According to Smith:

“The great object of the Political Economy of every country is to increase the riches and power of that country.”

Unlike the mercantilists, he did not believe wealth lay in the accumulation of precious metals like gold and silver. Instead, he defined wealth as *goods and services that command value in exchange*.

Key Points:

- Economics is concerned with the **generation and distribution of wealth**.
- The market economy operates through the **"invisible hand" mechanism** (price system).
- Smith viewed economics as the **science of wealth**.

MARSHALL'S WELFARE DEFINITION

Alfred Marshall, in his book *Principles of Economics* (1890), shifted focus from wealth to **human welfare**. He defined economics as:

“A study of men as they live and move and think in the ordinary business of life.”

Marshall emphasized that economics is:

- A study of **wealth** on one side.
- A study of **human welfare** on the other (more important) side.

Key Points:

- Wealth is a **means to an end** (human welfare), not an end in itself.
- Economics examines **individual and social actions** related to material well-being.

ROBBINS' SCARCITY DEFINITION

The most widely accepted definition was given by **Lord Robbins** in his 1932 book *An Essay on the Nature and Significance of Economic Science*. He argued that economics should focus on **scarcity and choice**:

“Economics is the science which studies human behaviour as a relationship between ends and scarce means which have alternative uses.”

Key Propositions:

1. **Unlimited Wants** – Human desires are endless; luxuries become necessities.
2. **Scarce Resources** – Means to satisfy wants are limited relative to demand.
3. **Alternative Uses** – Resources can be allocated in different ways, leading to **opportunity cost**.

IMPLICATIONS:

- Economics studies **scarcity-induced choice problems**.
- Applies to all societies (Robinson Crusoe, feudal Europe, capitalist America, and communist Russia).
- Makes economics a **positive science** (fact-based rather than value-based).

NATURE OF ECONOMICS

- Economics is a **social science** that studies human behaviour in decision-making.
- It is not just about money but about **choices** (e.g., career, spending, policy).
- Every decision involves **trade-offs** (costs and benefits).

SCOPE OF ECONOMICS

Economics covers a broad range of topics, including:

1. **Microeconomics** – Studies individual and firm behaviour (demand, supply, production).

2. **Macroeconomics** – Examines economy-wide issues (GDP, inflation, unemployment).
3. **International Economics** – Focuses on trade, exchange rates, and global institutions.
4. **Development Economics** – Analyzes economic growth and poverty reduction.
5. **Environmental Economics** – Studies sustainable resource use and policy impacts.

IMPORTANCE OF ECONOMICS

- Helps societies allocate scarce resources efficiently.
- Guides businesses, policymakers, and consumers in decision-making.
- Supports economic growth, inequality reduction, and sustainable development.
- Essential for international trade and finance.
- Useful for personal financial management.

METHODOLOGY OF ECONOMICS

- Uses theoretical models (assumptions, logic) and empirical methods (data analysis).
- Incorporates insights from psychology, sociology, and political science.

Key Economic Concepts

1. Wants

- Desires for goods/services that provide satisfaction.
- **Unlimited** (new wants emerge as old ones are satisfied).

2. Scarcity

- **Limited resources** vs. **unlimited wants**.
- Necessitates **choice** and prioritization.

3. Scale of Preference

- A **prioritized list** of unsatisfied wants.

- Example (Student's Priorities):

1. School uniform
2. Exercise books
3. Wristwatch
4. Dictionary

4. Choice

- Selecting **one option** over others due to scarcity.

5. Opportunity Cost

- The **next best alternative** foregone when making a choice.
- Example: Choosing between buying a book (₦100) or a calculator (₦100).

EVALUATION QUESTIONS

1. Explain the meaning of Economics.
2. Describe the nature of Economics.
3. State the scope of Economics.
4. Discuss the importance of economics.
5. Explain the different economic concepts.

ASSIGNMENT

1. **Discuss Robbins' definition of economics** (*"Economics is the science which studies human behaviour as a relationship between ends and scarce means which have alternative uses."*).
2. Explain the concepts of want, scarcity, scale of preference, choice, and opportunity cost.

WEEK 2: BASIC TOOLS OF ECONOMICS ANALYSIS

MATHEMATICAL TOOLS

Tools used in economic analysis include tables, charts, graphs, algebraic expressions and equations. They assist the economist in making predictions by discovering the implications of economic theories.

MEANING AND USES OF STATISTICS

In simple terms, statistics means the science of data compilation, analysis and interpretation.

Uses of Statistics

- a. Statistics is used for the purpose of describing an event or an outcome in order to economize time, money, efforts, etc.
- b. For inferential purposes, policy or decision makers are called upon from time to time to use statistics to discover the secret behind a given data.

MEANING OF CENTRAL TENDENCY

By a measure of central tendency, we mean an average figure or value, or typically placed in a set of values or figures. The measures of central tendency are:

- i. Arithmetic Mean [or mean] ($\bar{X}$)
- ii. Median (m_d)
- iii. Mode (m_o)
- iv. Geometric Mean (G_m)
- v. Harmonic Mean (H_m)

The more important measures of central tendency are the mean, the median and the mode

TABLE

A table is an orderly arranged list of information or data, which is set out in rows and columns, and which attempts to condense or summarise the information or data in order to make it more easily comprehensible.

Characteristics of a Good Table

1. A table must be very simple
2. It must be easy to understand
3. It must have a title or heading
4. The units of measurement used in the table must be stated
5. The purpose of constructing the table must be stated
6. A table must be numbered if they are many; and
7. A table source of information should be properly stated if it is known.

Importance of Tables

1. A table helps to summarise the data presented
2. It assists in an orderly arrangement of data
3. A table eases comparison between different classes of data
4. A table helps to bring out the important features in the data
5. A table helps to understand data; and
6. It makes it easier and faster to move decision through the use of table.

Example of a Table

Revenue for Nigeria (1974 – 1977)

Sources of Revenue	YEARS			
	1974 (₦)	1975 (₦)	1976 (₦)	1977 (₦)
Direct Taxes	66.8	54.2	58.9	62.5
Indirect Taxes	11.0	13.8	15.1	18.5
Interest Repayments	2.8	3.0	2.9	6.5
Royalties and Rent	18.8	28.5	28.5	25.1
Miscellaneous	0.6	5.8	7.85	10.5
	100	105.3	113.2	122.8

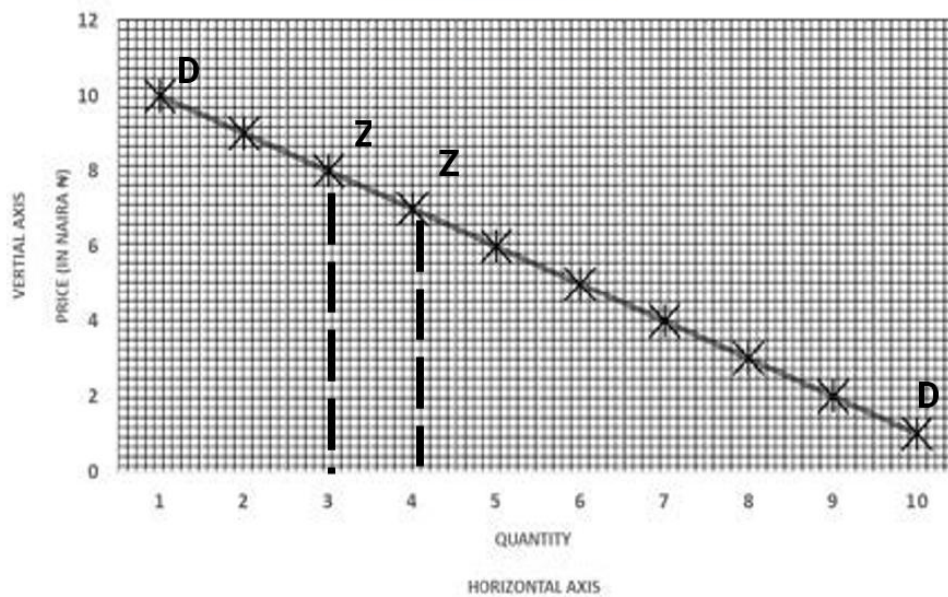
CHARTS AND GRAPHS

A graph is a pictorial presentation of the relationship between two variables. Many types of graphs are employed in economics, depending on the nature of the data involved and the purposes for which the graphs are intended. Among these are bar graphs, pie graphs, pictographs, and so on.

For example, you can draw a graph from demand schedule:

QTY demanded)	(Tins	Price (Naira per Unit)
10		1
9		2
8		3
7		4
6		5
5		6
4		7
3		8
2		9
1		10

Along the horizontal axis, we measure the quantity of the commodity sold, and along the vertical axis we measure the price.



A graph showing the relationship between price and the quantity (tins) of milk demanded

To obtain the curve marked **DD**, we have to mark out the points where a straight line from the various quantities sold meets with the lines drawn from the corresponding prices measured along the vertical axis. For instance, the line from quantity 4 meets the line from price 7 at the point **Z**, while that from quantity 3 meets the one from the price 8 naira at the point **Z**.

In a similar manner, all the other corresponding points are joined to get a curve which we have labelled **DD**. This is a demand curve. It shows the functional relationship between price and quantity.

Pie chart

A pie chart is a circle divided into segments by radial lines. The circle represents the total mass of data while the various sectors indicate the relative sizes of the different values or variables which form components of the data.

Example:

Using the data in the table below, information is converted into degrees to be depicted in the pie chart.

TOWN	POPULATION (IN THOUSANDS)
A	70
B	100
C	30

Solution:

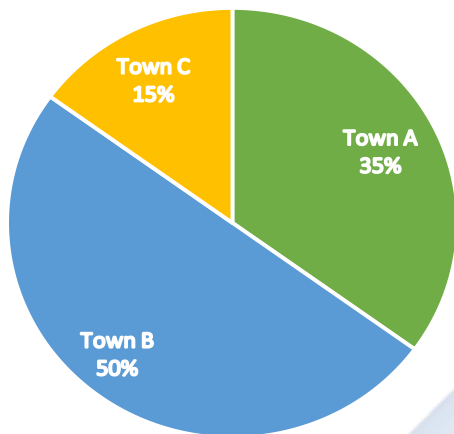
To obtain the analysis this formula is used:

$$\frac{\text{Population of X}}{\text{Total Population Size}} \times \frac{360}{1}$$

$$\text{Therefore, for town A} = \frac{70}{200} \times \frac{360}{1} = 126^\circ$$

$$\text{town B} = \frac{100}{200} \times \frac{360}{1} = 180^\circ$$

$$\text{town C} = \frac{30}{200} \times \frac{360}{1} = 54^\circ$$



PIE CHART

Also, in Percentages

$$\text{town A} = \frac{70}{200} \times \frac{100}{1} = 35\%$$

$$\text{town B} = \frac{100}{200} \times \frac{100}{1} = 50\%$$

$$\text{town C} = \frac{30}{200} \times \frac{100}{1} = 15\%$$

Towns	Population (in thousands)	Degree
A	70	126°
B	100	180°
C	30	54°

Bar chart

A bar chart is a type of chart that shows the changes in the figures or size of variables. They are easy to understand and shows data more accurately than pictograms. There are types of bar charts namely:

Simple Bar Chart

This is used when the data to be represented involves a single category. The bars representing the different values may be drawn vertically or horizontally.

Example:

The table below shows the population of the three broad age groups in KOTA in 2009. Present the information in a simple bar chart.

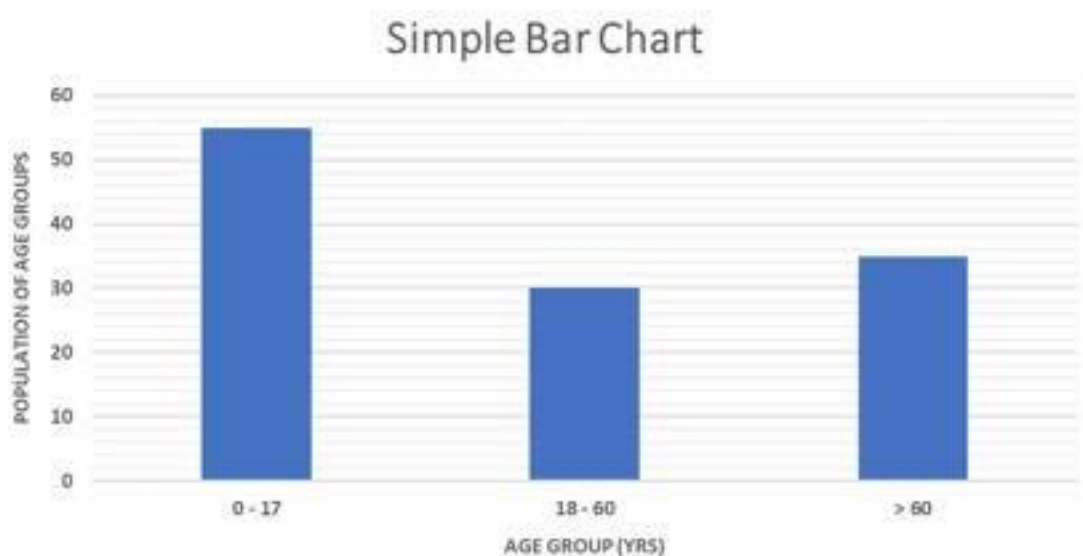
Solution:

Choose an appropriate scale for the population:

Y-axis – 1cm: 10,000,000 people

Scale:

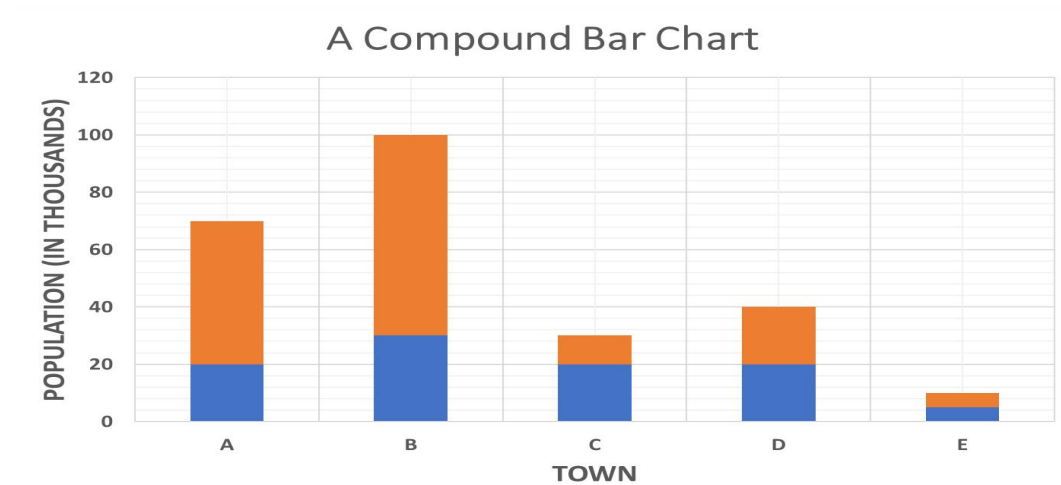
X-axis – 1cm to represent each age group



TAKE NOTE: The width of the bars must be equal and must be spaced out evenly.

Component bar chart

This is used when the data to be represented involves more than one category. Simple bars are divided into sections or components which corresponds in size to the magnitude of the item it represents.

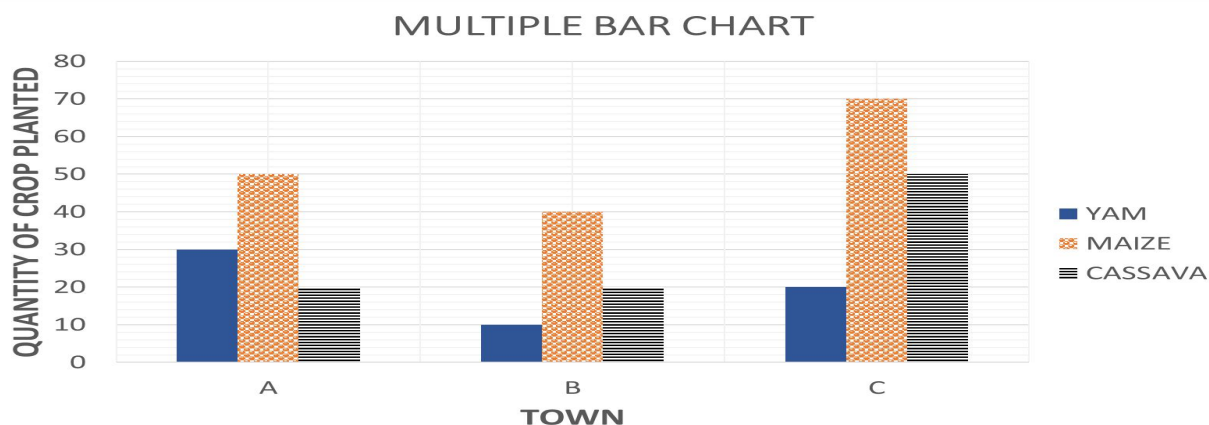


TOWN	POPULATION		
	MALE	FEMALE	TOTAL
A	50	20	70
B	70	30	100
C	10	20	30
D	20	20	40
E	5	5	10

Multiple bar chart

This is a variation of the component bar chart also used to represent data comprising more than one category or component values. The component values are drawn as separate bars and placed next to each other.

TOWN	QUANTITY OF CROP PLANTED		
	YAM	MAIZE	CASSAVA
A	30	50	20
B	10	40	20
C	20	70	50



PICTOGRAMS

Pictograms or pictographs are charts in which pictures or drawings of objects used to represent items in a given data. The pictures so use is meant to represent the magnitude of the variables or to convey other information. In this case, pictures or diagrams are appreciated rather than tables or other charts.

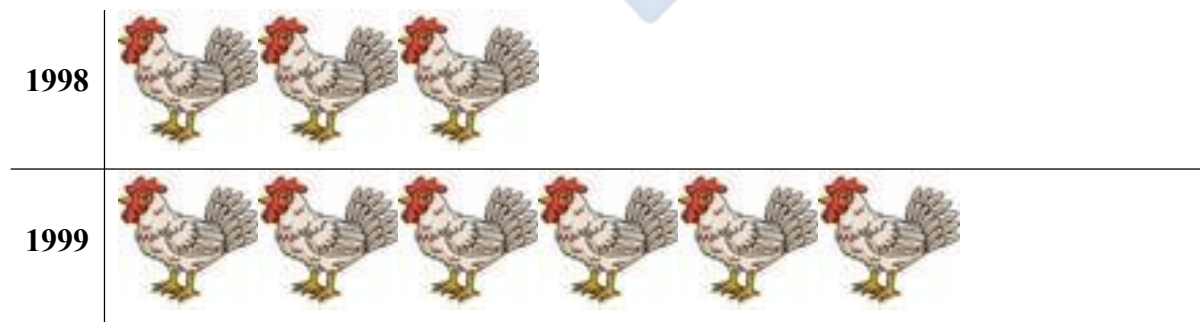
Example:

With the aid of the table below. Draw a pictogram to show the total number of chickens consumed in Ghana between 1998 and 2003.

Chicken Consumed in Ghana Between 1998 and 2003	
Year	Chicken Consumed (1,000s)
1998	30
1999	60
2000	20
2001	50
2002	40
2003	10

Solution:

- The picture or diagram must look like a chicken or birds.
- One picture to represent 10,000 chickens.
- The pictogram is them drawn as shown.



2000	
2001	
2002	
2003	

Histogram

Histogram is a graph of a frequency distribution in which rectangular bars are used with the width of the bars as the intervals between the class, boundaries and their areas proportional to the frequencies of the classes.

Histogram of Ungrouped Data

Example:

Let us assume that the ages of 30 students in the press club in a school are as follows:

10, 12, 18, 20, 11, 18, 19, 11, 12, 13, 14, 16, 13

14, 10, 12, 11, 11, 18, 12, 13, 14, 15, 18, 20, 21, 11

17, 11, 13

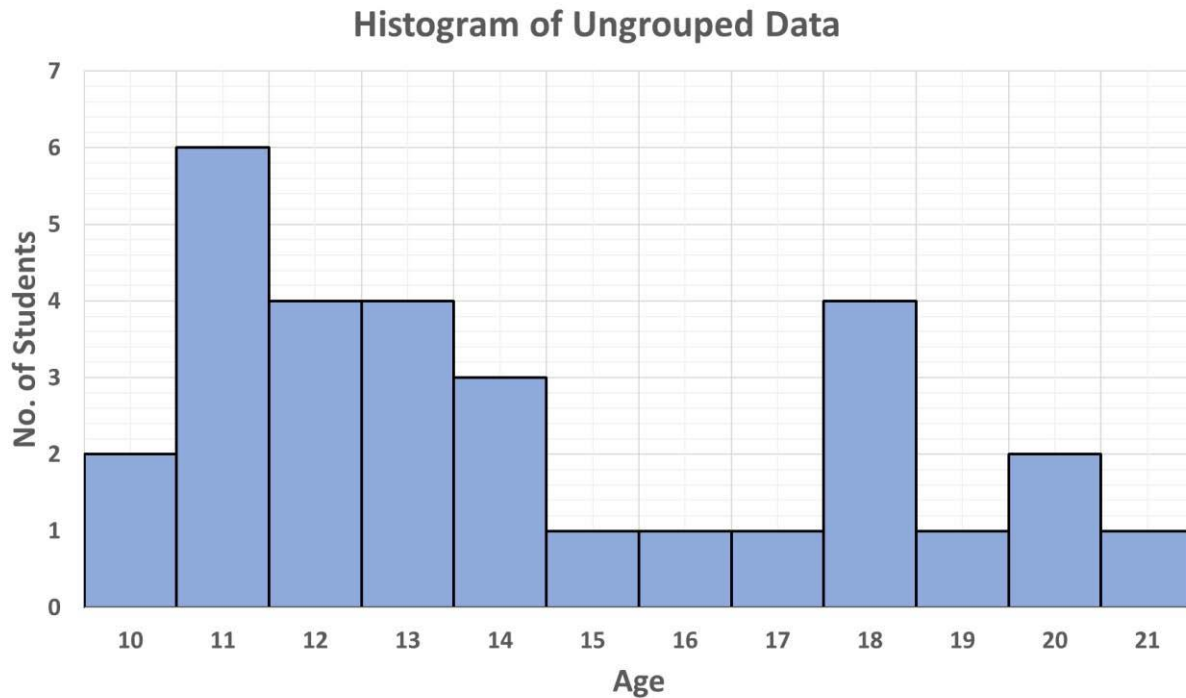
A frequency table could be prepared as:

Age (X)	No. of Students (frequency or f)
10	2

11	6
12	4
13	4
14	3
15	1
16	1
17	1
18	4
19	1
20	2
21	1

$$\sum f = 30$$

Draw a histogram showing the ages of the 30 students in the press club in a school.



Histogram of Grouped Data

Example: By using appropriate intervals, draw a histogram showing the ages of 30 students in the club in a school.

Solution:

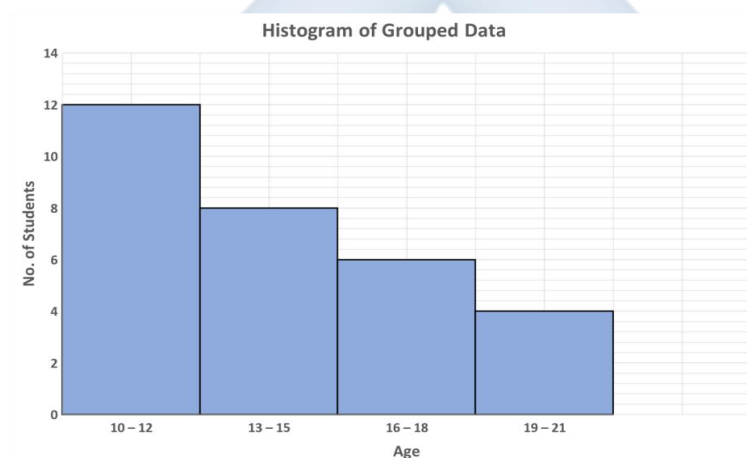
Let us group the ages of the students at intervals of 3. The frequency table now becomes:

Class Intervals (Age or X)	No. of Students (frequency or f)
10 – 12	12
13 – 15	8
16 – 18	6
19 – 21	4

The next step is to determine the class boundaries.

Class Interval	Class Boundaries	Frequency (f)
10 – 12	$9\frac{1}{2} - 12\frac{1}{2}$	12
13 – 15	$12\frac{1}{2} - 15\frac{1}{2}$	8
16 – 18	$15\frac{1}{2} - 18\frac{1}{2}$	6
19 – 21	$18\frac{1}{2} - 21\frac{1}{2}$	4

The class boundaries are obtained by reducing by half the upper-class interval and increasing by half the lower-class intervals. E.g., Class interval 10 – 12 becomes class boundary $9\frac{1}{2} - 12\frac{1}{2}$. This ensures that there is no gap between class intervals and enable the histogram to be drawn easily. The class midpoint is the middle value of class boundary.



L. Importance of Charts

1. Charts are easier to understand regardless of the level of education of layman could identify which sector of the economy is more developed by selecting a larger section of a pie chart depicting output of different sectors of the economy.
2. The use of pictures and colours for different sections readily conveys the message with regards to size and improvements of certain sections represented in the charts. Also colour coding it easy remember the data show.
3. Two or more factors can be represented in a single component or multiple bar chart making it easier for a group analysis.
4. Charts are easy to construct and different charts can be used for different purposes as suitable to the user.

M. Frequency Distribution

The frequency of an observation refers to the number of times a particular value occurs. A frequency table (or distribution) shows the values of a set of observations and the number of times each value occurs. It could be for a group or an ungrouped data.

Example: Represent the marks scored by 30 biology students in SS1 by frequency distribution using the following data.

20 8 12 4 18 18 18
20 12 6 18 20 4 12
8 18 12 8 8 18 20
2 20 18 18 20 8 2
4 18

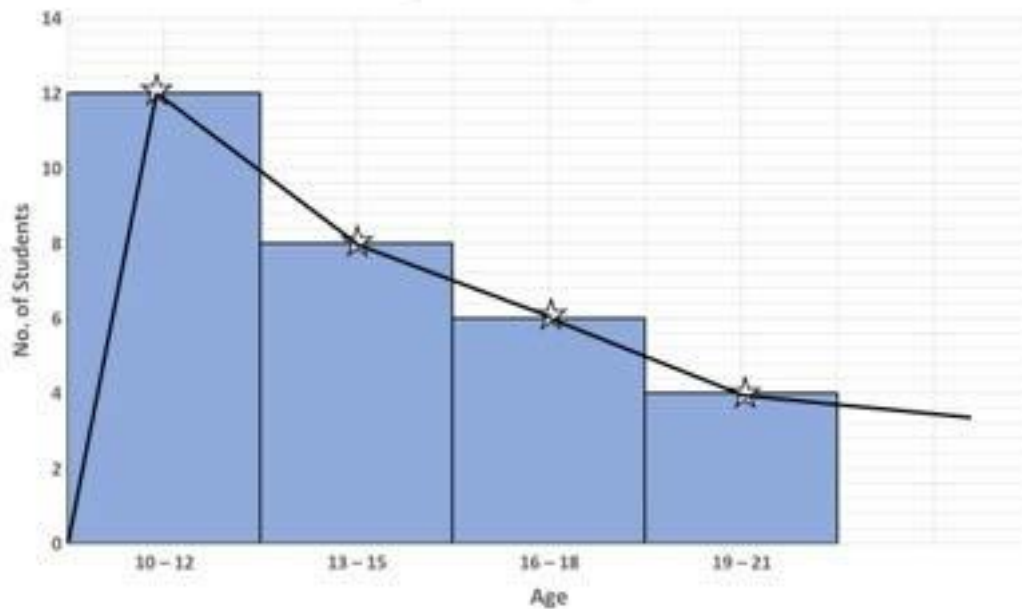
Solution:

Arrange the data in the following manner

Score (X)	Tally or Counts	Frequency (f)
2	II	2
4	III	3
6	I	1
8	III /	5
12	III	4
18	III III /	9
20	III I /	6
$\Sigma f = 30$		

Frequency Polygon

It is a graph which results when the successive midpoints of the tops of the rectangular bars in the histogram are joined together with a line.



ASSIGNMENT:

1. Explain the concept of opportunity cost and its relevance in economic decision making.
2. Using a production possibility cost, illustrate the concept of scarcity and choice in economics.

WEEK 3: CONCEPTS OF DEMAND AND SUPPLY

Demand

Meaning of demand: Demand is an economic concept that relates to a consumer's desire to purchase goods and services and willingness to pay a specific price for them. An increase in the price of a good or service tends to decrease the quantity demanded. It is also referred to as the quantity of a commodity that a consumer is willing to buy at a given price and at a given period of time.

Price system: In economics, a price system is a system through which the valuations of any forms of property (tangible or intangible) are determined. All societies use price systems in the allocation and exchange of resources as a consequence of scarcity. Even in a barter system with no money, price systems are still utilized in the determination of exchange ratios (relative valuations) between the properties being exchanged. A price system may be either a regulated price system (such as a fixed price system) where prices are administered by an authority, or it may be a free price system (such as a market system) where prices are left to float "freely" as determined by supply and demand without the intervention of an authority. A mixed price system involves a combination of both regulated and free price systems.

First law of demand: The law of demand states that, all things being equal, when the price of a product goes up, the quantity demanded will go down – and when the price of a product goes down, the quantity demanded will go up. The law of demand explains consumer choice behavior when the price changes. In the market, assuming other factors affecting demand remain constant, when the price of a good rises, it leads to a fall in the demand for that good. This is the natural consumer choice behavior. This happens because a consumer hesitates to spend more on the good for fear of going out of cash.

Demand schedule: In economics, a demand schedule is a table that shows the quantity demanded of a good or service at different price levels. It is divided into two, namely: individual and market demand schedule.

Individual demand schedule: Individual demand schedule is a tabular representation of the quantities of goods that an individual demands at different prices and times, keeping all the other factors constant. Below is an example of an individual demand schedule.

Bola demand schedule for Fanta.

Price per bottle (#)	Quantity demanded (No. Of bottles per week)
100	10
80	20
60	30
40	40
20	50

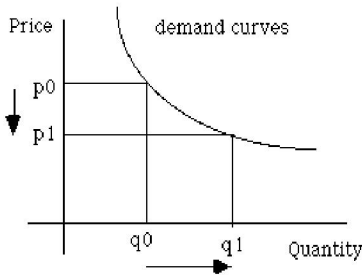
Market demand schedule: In economics, a market demand schedule is a tabulation of the quantity of a good that all consumers in a market will purchase at a given price. Below is an example of market demand schedule.

Market demand schedule for Coca-Cola

Price per bottle (N)	Mr Abi	Mrs Tori	Mr Gabriel	Mrs Ummi	Mrs Toyin	Total quantity purchased per week
100	10	15	30	5	20	80
80	20	25	40	20	40	145
60	30	35	50	35	60	210
40	40	45	60	55	80	270
20	50	55	70	75	80	338

Demand curve: The demand curve is a visual representation of how many units of a good or service will be bought at each possible price. It plots the relationship between quantity and price

that's been calculated on the demand schedule, which is a table that shows exactly how many units of a good or service will be purchased at various prices. As you can see in the chart below, the price is on the vertical (y) axis, and the quantity is on the horizontal (x) axis. This chart plots the conventional relationship between price and quantity. The lower the price, the higher the quantity demanded. As the price decreases from p_0 to p_1 , the quantity increases from q_0 to q_1 .



Factors influencing demand

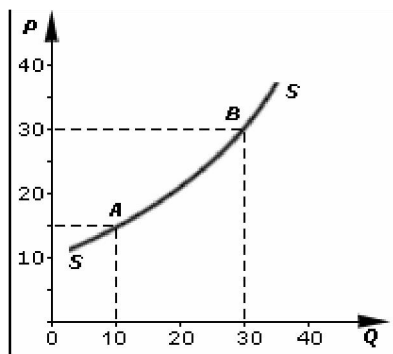
Numerous factors can influence demand, including:

- Consumer preferences and tastes: Changes in consumer preferences and tastes can lead to fluctuations in demand for specific products or services.
- Income levels: As consumers' incomes increase, their ability and willingness to purchase goods and services generally rise, leading to higher demand.
- Price of substitutes and complements: The demand for a good or service can be influenced by the prices of related goods, such as substitutes (products that can replace the good in question) and complements (products that are consumed together with the good).
- Expectations: If consumers expect future changes in price, income, or product availability, they may adjust their current demand accordingly.
- Population and demographics: An increase in population or shifts in demographic trends can influence the overall demand for goods and services.

Supply

Meaning of supply: All things being equal, Supply is a fundamental economic concept that describes the total amount of a specific good or service that producers or manufacturers made available to consumers at a given price and at a given period of time. Supply can relate to the amount available at a specific price or the amount available across a range of prices if displayed on a graph.

Supply curve: The supply curve is a graphic representation of the correlation between the cost of a good or service and the quantity supplied for a given period. In a typical illustration, the price will appear on the left vertical axis, while the quantity supplied will appear on the horizontal axis.



Supply schedule: A supply schedule is a table that shows the quantity supplied at each price. A supply curve is a graph that shows the quantity supplied at each price. Sometimes the supply curve is called a supply schedule because it is a graphical representation of the supply schedule. It is divided into two namely; Individual and market supply schedule.

Individual supply schedule: Individual Supply Schedule: Individual supply schedule is a tabular statement of the various quantities of product that is supplied by an individual or a firm at various price levels over a period of time, with all other factors being constant. Below is an example of an individual supply schedule.

A farmer supply schedule for bags of beans.

Price per bag	Quantity supplied (Nos of bags of rice)
100	50
80	40
60	30
40	20
20	10

Market supply schedule: The market supply schedule is a table that lists the quantity supplied for a good or service that suppliers throughout the whole economy are willing and able to supply at all possible prices. Below is an example of market supply schedule.

Price per bag (#)	Mr Oke	Mrs Bose	Mr Okeke	Total quantity supplied
100	50	80	70	200
80	40	70	50	168
60	30	60	30	120
40	20	50	20	90
10	10	30	15	60

Law of supply: The law of supply states that, all things being equal, an increase in the price of goods or services results in an increase in the quantity that suppliers make available to the market. Existing suppliers increase production of higher-priced goods to maximize profits, while new suppliers may also enter the market.

Factors influencing supply:

1. Price of the good:

As stated in accordance with the law of supply, the supply of a certain good will increase proportionately to an increase in price.

2. Cost of production:

The supply of a product and the cost of production are adversely related to each other. For companies, if the cost of production increases, the supply of products would shrink so as to save resources. For example, due to the high wage rate of labor, poor natural conditions such as crop failure, as well as the increase in raw material prices, taxes, and transportation costs, the cost of production is raised.

3. Government taxation policies:

With the role to regulate and protect the industry, the government has a great influence on the supply of a product. The lower the tax, the higher the supply of that product. On the other hand, if strict regulations are imposed and excise duty is added, the product's supply would fall.

4. Transportation condition:

The supply chain relies on the efficient management of assets and logistics to get raw materials, parts, and finished products from one place to another. Transport is always a constraint to the supply of products, as the products may not be available on time due to poor transport facilities.

5. Natural conditions:

It implies that weather conditions have a direct impact on the availability of particular goods. When the monsoon arrives on schedule, for example, the quantity of agricultural goods increases. During droughts, however, the availability of these goods declines. Some crops are climate-sensitive, and their growth is solely dependent on weather conditions.

Evaluation:

- i. Meaning of demand
- ii. Law of demand
- iii. Demand schedule and demand curve
- iv. Factors influencing demand

Assignment:

1. Explain the elasticity of demand and supply.



WEEK 4: THEORY OF PRODUCTION

Meaning of Production:

Production is the process by which different inputs, including capital, labor, and land, are used to create outputs in the form of products or services to satisfy human wants. Production can also be defined as the various economic activities aimed at the creation of goods and services and the distribution of these to the final consumers for the satisfaction of human wants.

Types of Production

Production is basically grouped into two major categories: direct and indirect production.

Direct Production:

Direct production is the type of production in which an individual produces goods and services only for family use or consumption. The goods and services produced are not for sale; rather, they are to be consumed by the family. Family labour is usually employed as the size is very small.

Indirect Production:

Indirect production is the type of production in which goods and services are produced in large quantities/scale mainly for sale or exchange for other needs. This type of production involves the use of modern machines/equipment and skilled labour to produce surplus goods and services that the producer would exchange for money, which he will use to satisfy other wants.

Indirect production is sub-divided into three major groups, namely: primary, secondary, and tertiary production.

Primary Production:

Primary production is carried out by 'extractive' industries like agriculture, forestry, fishing, mining, and oil extraction. These industries are engaged in such activities as extracting the gifts of nature from the earth's surface, from beneath the earth's surface, and from the oceans.

Secondary Production:

This includes production in the manufacturing industry, i.e., turning out semi-finished and

finished goods from raw materials and intermediate goods—conversion of flour into bread or iron ore into finished steel. They are generally described as manufacturing and construction industries, such as the manufacture of cars, furnishing, clothing, and chemicals, as well as engineering and building.

Tertiary Production:

Industries in the tertiary sector produce all those services which enable the finished goods to be put in the hands of consumers. In fact, these services are supplied to the firms in all types of industry and directly to consumers. Examples include distributive trade, banking, insurance, transport, and communications. Government services, such as law, administration, education, health, and defence, are also included.

Step 3: Factors of Production:

Factors of production refer to agents, components, or resources which are combined together to produce goods and services. Examples are Land, Labour, Capital, and Entrepreneur.

Land:

Land refers to natural resources such as land, energy, etc., that are used in the process of production and are counted under the category 'land'. Unlike other factors of production, the supply of land is limited. The reward for land is rent.

Features or Characteristics of Land:

- Land is immobile
- The supply of land is fixed
- Land has no cost of production
- Land is subject to diminishing returns
- Land is a free gift of nature

Labour:

Labour refers to the people involved and the time and effort put into the process. It also refers to man's mental and physical exertions generated in the process of production. The reward for labour comes in the form of wages and salaries.

Features or Characteristics of Labour:

- Labour requires motivation
- Labour is mobile
- Labour is not fixed
- Labour is a human factor
- Labour is skillful
- Labour has initiative

Capital:

Capital includes the amount invested in the process of production. Investment can be in terms of monetary investments or assets like machines, vehicles, etc. It can also be defined as the man-made wealth or goods used to produce other goods and services. The reward for capital is interest.

Features or Characteristics of Capital

Capital is durable, capital is man-made, capital exists in different forms, capital is subject to depreciation, capital ensures large scale production etc.

Entrepreneur: An entrepreneur can be defined as the factor of production that co-ordinates and organises other factors of production (Land, Labour and Capital) in order to produce goods and services. The entrepreneur bears the risks by investing his capital in setting up the business and takes decisions of the business with the aim of obtaining maximum profit. The reward for entrepreneur is profit.

Features or Characteristics of Entrepreneur:

An entrepreneur is a decision maker, he is a risk bearer, he controls other factors of production etc.

Other factor of production includes:

Technology: Technology refers to the technology used in the production process, whether the kind of machinery, the programming of machinery, the capacity of machinery, etc.

Division of labour and specialization

Meaning: According to Adam Smith, division of labour involves assessing the production process and allocating tasks to individuals to enhance productivity. He gives the example of a pin that goes through the production process and notes that division of labour leads to productivity.

What does division of labour mean in economics?

Division of labour is the assigning of different tasks to different people, which increases productivity and ultimately profits. This leads to economic and monetary gains.

What is an example of division of labour?

A construction manager needs to construct a new building. The building needs to have electricity, running water, a solid foundation, and an attractive, functional interior, among other things. He realizes that in order to accomplish this, he needs masons, plumbers, carpenters, electricians, painters, and interior designers. These different workers come together and use their specialized skills to create the final product: a new building.

How important is division of labour?

Division of labour is important, as it increases productivity in organizations; ensures that market demand is met with high-quality products made by skilled professionals; allows for job growth as individuals become experts in their respective areas; and leads to monetary gain and economic growth.

Specialization: Specialization is the process wherein a company or individual decides to focus their labour on a specific type of production. In layman's terms, specialization means focusing on a specific job. When an individual specializes, they limit their focus to one specific activity. When a company specializes, it focuses on a narrow range of goods or services.

Types of Specialization:

- i. Specialization by process: This is the type of specialization in which the production process is divided into different operations or stages, and each worker or firm or country concentrates on only one operation or stage.
- ii. Specialization by product: This is the type of specialization in which a producer (individual or

a firm or government) concentrates on the production of a particular commodity.

iii. Specialization by sex: This is the type of specialization in which certain occupations are exclusively either for males or females as dictated by customs, traditions or by law.

iv. Geographical or territorial specialization: This is the type of specialization in which certain geographical regions or territories specialise in the production of a particular commodity. This is made possible as a result of the type of climate and natural resources available in the area.

Advantages of Division of Labour

1. Increase in production.
2. Large scale production.
3. Time saving.
4. It leads to specialization.
5. Production of standard goods.
6. Less fatigue.

Disadvantages of Division of Labour

1. Problems from increased interdependence.
2. Problem of mobility of labour.
3. Boredom or monotony as workers perform the same job on a daily basis.
4. Decline in craftsmanship: As a result of the use of machines in division of labour, people no longer make use of their skills in the production of goods; rather, they become machine-minders.

Limitations of Division of Labour

1. Size of the market.
2. Level of technology.
3. Nature of goods, e.g. seasonal goods.
4. Availability of factor inputs, e.g. capital, labour.
5. Special talents/creativity.
6. Government policy.

Economies of Scale or Scale of Production

What Are Economies of Scale?

When more units of a good or service can be produced on a larger scale, yet with (on average) fewer input costs, economies of scale are said to be achieved.

Alternatively, this means that as a company grows and production units increase, a company will have a better chance to decrease its costs. According to this theory, economic growth may be achieved when economies of scale are realized.

Understanding Economies of Scale

Economist Adam Smith identified the division of labour and specialization as the two key means to achieving a larger return on production. Through these two techniques, employees would not only be able to concentrate on a specific task but, with time, improve the skills necessary to perform their jobs. The tasks could then be performed better and faster. Hence, through such efficiency, time and money could be saved while production levels increased.

Just like there are economies of scale, diseconomies of scale also exist. This occurs when production is less than in proportion to inputs. What this means is that there are inefficiencies within the firm or industry, resulting in rising average costs.

Types of Economies of Scale

There are two major types of economies of scale, namely:

1. **Internal economies** (economies of large scale) and internal diseconomies.
2. **External economies** (economies of small scale) and external diseconomies.

External Economies of Scale

Economist Alfred Marshall made a distinction between internal and external economies of scale.

- When a company reduces costs and increases production, **internal economies of scale** have been achieved.
- **External economies of scale** occur outside of a firm, within an industry.

Thus, when an industry's scope of operations expands due to outside developments, external economies of scale might result. For example, the creation of a better transportation network might result in a subsequent decrease in cost for a company as well as its entire industry. When external economies of scale occur, all firms within the industry benefit.

External economies of scale are achieved from the concentration or localisation of industries in a particular area. In other words, these are the benefits a firm enjoys from an increase in its output and a decrease in cost as a result of the assistance it derives from other firms within the same location. External economies are mostly derived from industrial estates where there are many firms operating in the same location.

Diseconomies of Scale

As mentioned before, diseconomies may also occur. They could stem from inefficient managerial or labour policies, over-hiring, or deteriorating transportation networks (**external diseconomies of scale**).

- **External diseconomies** refer to the disadvantages a firm experiences when the activities of one or more industries increase the cost of production or output of that firm within the same location.
- **Internal diseconomies of scale** involve either technical constraints on the production process that the firm uses, or organizational issues and problems that increase costs or waste resources without any change to the physical production process.

Internal diseconomies are the disadvantages which a firm undergoes as a result of expansion, resulting in less efficiency and an increase in the cost per unit of output, often due to managerial problems.

Advantages of Large-Scale Production

The following are the merits of large-scale production:

1. **Internal Economies:** Internal economies arise within the firm because of the expansion of the size of a particular firm.
2. **External Economies:** External economies arise with the expansion of the industry. These are generally the result of large-scale production and are associated with the advantages of localisation.
3. **Division of Labour:** Large-scale production is always associated with more and more division of labour. With the division of labour, per worker output increases. Hence, per unit labour cost is reduced in large-scale production.
4. **Low Cost of Production:** Large-scale production provides many types of economies. Suppose there are two different factories, each producing 500 units of a commodity. For these two factories, there must be two managers. But if the scale of production is enlarged and in one factory we start producing 1000 units of the same commodity, the work can be supervised by one manager. In this way, in large-scale production, the salary of one manager is saved. So, the cost of production is reduced.
5. **Ancillary Industries:** With the development of large-scale production, many small industries arise that use its by-products or supply inputs to it. For example, when the production of steel is increased, many other auxiliary industries develop. The development of auxiliary industries contributes to the industrialisation of the area and the industry itself.

Disadvantages of Large Scale Production

The following are the demerits of large scale production:

1. **Danger of Over-Production:** The large scale organisation results in over-production at times, so demand cannot be properly estimated. At last, prices fall and depression sets in.

2. **Less Supervision:** A large scale producer cannot pay full attention to every detail in various departments. Costs often rise on account of the dishonesty of workers.
3. **Unequal Distribution of Wealth:** All wealth and incomes of the country get concentrated in the pockets of big producers due to large scale production. There is unequal distribution of wealth and resources on account of the large scale production. The rich become richer and the poor become poorer.
4. **Dependence on Foreign Markets:** A large producer has generally to depend on foreign markets. The foreign markets may be cut off by wars, etc. This makes the business risky.
5. **Individual Tastes Ignored:** The individual tastes and interests stand completely ignored in large scale production. Goods of uniform quality are turned out irrespective of the requirements of the individual customers. Individual tastes are not, therefore, satisfied. This results in the loss of customers to other competitors.

Limitations to the Scale of Production or to the Growth of Firms

1. Extent of the Market
2. Availability of Capital
3. Nature of Business
4. Falling Price of the Commodity
5. Increasing Management Costs, etc.

Evaluation

1. Define production
2. State the types of production
3. Explain the different factors of production
4. Explain division of labour
5. Economies of scale or scale of production

Assignment

- 1a. Define division of labour
- 1b. State and explain types of specialization

- 2a. What do you understand by economies of scale?
- 2b. Explain types of economies of scale a firm enjoys as it grows in size (WASSCE June, 2008)
3. Discuss five (5) limitations to the scale of production



WEEK 6: BASIC ECONOMIC PROBLEMS OF SOCIETY

Definition of Economic System

An economic system is a means by which societies or governments organize and distribute available resources, services, and goods across a geographic region or country. Economic systems regulate the factors of production, including land, capital, labor, and physical resources. It is an arrangement specifying how production and consumption are controlled in a society.

An economic system, or economic order, is a system of production, resource allocation, and distribution of goods and services within a society. An economic system is a way a society produces and distributes goods and services. It involves how things are made, who gets to make them, how they are distributed, and how people get access to them. It's like a set of rules that everyone in society follows when it comes to money and trade.

Types of Economic System

There are basically three types of economic system namely:

1. **Capitalism or Free Market Economy**
2. **Socialism**
3. **Mixed Economy**

Capitalism (Free Market Economy)

Capitalism or free market economy is an economic system wherein individuals own and manage property in accordance with their desires, and free market forces establish prices in a way that fits society's best interests. It is characterised by private ownership of means of production. In this case, private individuals play a greater role than government in taking decisions on what to produce, how to produce, for whom to produce, and the distribution of what has been produced. Examples of countries which practice capitalism include the United States of America, Japan, Australia, Singapore, Switzerland, and France.

Features of Capitalism or Free Market Economy

1. Private ownership
2. Existence of competition

3. Maximisation of profit
4. Accumulation of wealth
5. Free market enterprise
6. Exercise of individual initiative

Advantages of Capitalism

1. Choices for customers are made possible by capitalism
2. The economy is more economically efficient
3. It hastens economic development
4. It encourages hard work as people are free to own property
5. It promotes different forms of production
6. It enhances technological development
7. Talents are fully utilized during the process of production

Disadvantages of Capitalism

- i. The possibility of exploiting and undervaluing labour
- ii. It causes job insecurity and unemployment
- iii. Unhealthy competition/rivalry among investors/persons
- iv. Profit maximization at all cost
- v. It increases crime rate because of efforts to acquire wealth at all cost
- vi. It leads to economic inequality as only a few individuals have full control of the means of production

Socialism (Centrally Planned or Controlled Economy)

Socialism is an economic system or condition of society in which the means of production are owned and controlled by the state (the government). Companies and industries or corporations that are responsible for the production of goods and services required in the country are owned and controlled by the government. The major aim of a socialist economy is to produce goods and services for the general welfare of the citizens.

Examples of countries that operated socialist economic systems in the past are Poland, Bulgaria, and Romania. In Africa they include Angola, Mozambique, and Burkina Faso. Present-day

examples include India, Republic of Korea, Republic of China, and Cuba. In Africa: Algeria, Guinea-Bissau, and Tanzania.

Features of Socialism or Centrally Planned Economy

- i. State ownership of means of production
- ii. Promotion of welfare
- iii. Non-profit motive
- iv. Optimum utilisation of factors of production
- v. Prevention of private monopoly
- vi. Non-price competition, as prices of commodities are fairly stable unlike price competition in a capitalist economy

Advantages of Socialism

- 1. Equitable distribution of resources
- 2. Economic security as jobs and employment for the citizens are guaranteed and secured
- 3. Centrally planned market, as government takes decisions on goods and services produced and their markets
- 4. Prevention of private monopoly, as means of production are controlled by the government
- 5. Absence of exploitation, since government provides all goods and services required by the citizens

Disadvantages of Socialism

- i. Absence of competition, as all goods and services are provided by the government
- ii. It leads to state or government monopoly
- iii. Absence of creativity and innovation, as citizens solely rely on government for all their needs
- iv. Absence of alternative choice, as consumers have to accept whatever is produced by the state
- v. It creates room for laziness, as government provides everything for the people

Mixed Economy

A mixed economic system is a system that combines aspects of both capitalism and socialism. A

mixed economic system protects private property and allows a level of economic freedom in the use of capital, but also allows for governments to interfere in economic activities in order to achieve social aims. Under this economic system, resources or means of production are jointly owned and controlled by both public and private interests. Examples of countries which operate mixed economy are Britain, Mexico, and Peru. In Africa: Nigeria, Egypt, Tanzania, Kenya, etc.

Features of Mixed Economy

1. Joint participation
2. Joint decisions
3. Fair competition
4. Checks and balances
5. Freedom of choice

Advantages of Mixed Economy

1. It prevents monopoly
2. It ensures job security
3. It ensures economic development
4. There is freedom of choice
5. It combines the good qualities of capitalism and socialism

Disadvantages of Mixed Economy

- i. Corruption and mismanagement
- ii. Lack of efficiency
- iii. Exploitation of labour
- iv. Emphasis on profit maximization at the expense of the citizens
- v. Inequality of wealth, as wealth is not equitably distributed and there is a wide gap between the rich and the poor

Economic Problems

Definition of Economic Problems

The basic economic problems refer to the problems people encounter in society while attempting to satisfy their numerous wants with the limited resources available to them. These basic economic problems of society include what to produce, how to produce, for whom to produce, and how efficiently the resources are being utilised.

What to Produce?

Since resources are limited and human wants are unlimited, societies must decide what goods and services to produce and in what quantities, as it is practically impossible to produce all human wants or needs. This involves making choices about which products or services are most needed or desired by the population.

Factors Determining What to Produce

- i. Cost of production: If cost of production is low, it would enable the producer to produce goods and services to make profit
- ii. Consumers' income must be taken into consideration before the producer decides on what to produce
- iii. Market demand for a particular set of goods and services must also be considered before production
- iv. Availability of resources: when resources for production are available and affordable, the producer will be encouraged to produce goods and services, and vice versa
- v. Consumer needs must also be taken into consideration before deciding on what to produce

How to Produce?

As soon as what to produce is established, the problem of *how to produce* is related to the production techniques employed in producing the decided goods and services.

Factors Determining How to Produce

- i. Technique of production
- ii. Technological advancement
- iii. Relative cost of factors of production

For Whom to Produce?

All goods and services produced must get to the final consumers. Production is incomplete until the goods and services reach the final consumers.

Factors Determining For Whom to Produce

1. Level of income: The higher the level of income of the consumers, the more they are able to buy goods and services produced, and vice versa
2. Satisfaction of wants: All goods and services produced either by individuals, firms, or government must satisfy the needs or wants of society
3. Type of economic system: In capitalist and mixed economies, who gets what depends on the prices of the various products and the amount available to each individual. In a socialist economy, the state normally introduces a quota system in the distribution of goods and services among the people

How Efficiently are Resources Being Utilised?

Generally, if the output achieved with a given set of resources is high relative to the input of resources used, then resource utilization can be considered efficient. Since the resources available in society are limited relative to demand, it becomes necessary to ensure that these limited resources are efficiently used to produce the desired goods and services.

Factors Determining Efficient Use of Resources

- i. Quality of labour: The use of skilled labour contributes to efficient and effective use and allocation of resources in production, leading to increased quantity and quality of output
- ii. Techniques of production: The use of machines and equipment may produce more goods, save time, and reduce wastage

Evaluation

1. Define economic system
2. Describe the different types of economic system, their advantages and disadvantages
3. Describe economic problems

Assignment

Every society, be it capitalist, socialist, or mixed economy, is faced with four (4) fundamental economic problems. Explain (SSCE Nov. 1996).



WEEK 8: FIRM, FACTORY, INDUSTRY AND BUSINESS ORGANIZATION

Firm

A firm is a business organisation such as a corporation that produces and sells goods and services with the aim of generating revenue and making a profit. In economics, firms are organizations that produce goods and services. They are typically owned and operated by individuals or groups of individuals, and are motivated by the desire to make a profit.

Firm vs. Company

Although they appear synonymous and are often used interchangeably, there is a difference between a firm and a company. A company can be any trade or business in which goods or services are sold to produce income. Further, it encompasses all business structures, such as a sole proprietorship, partnership, and corporation. On the other hand, a firm typically excludes the sole proprietorship business; it generally refers to a for-profit business managed by two or more partners providing professional services, such as a law firm. In some cases, a firm can be a corporation.

Plant or Factory

A plant or factory is a place where a firm carries out its productive activities. In the study of economics, a plant is an integrated workplace, usually all in one location. A plant generally consists of the physical capital, like the building and the equipment at a particular location that is used for the production of goods. A plant is also called a factory. Examples are paper mill, steel mill, automobile plant, chemical plant, textile plant, cement plant, etc.

Industry

In macroeconomics, an industry is a branch of an economy that produces a closely related set of raw materials, goods, or services. For example, one might refer to the wood industry, the insurance industry, or the banking industry, etc. An industry is the combination of a number of firms producing broadly similar commodities or services for the same market.

Business Organisations (Meaning)

Business organisation can be defined as an enterprise set up by an individual or group of individuals, government or its agencies for the main purpose of making profit and providing

goods and services for the satisfaction of human wants. All business organisations, be it small or large, irrespective of the ownership and structure, have one thing in common – the provision of goods and services to meet the numerous needs of the people.

Types of Business Organisations

There are two major groups of business organisations: private and public enterprises.

(a) Private Enterprises

Private enterprises are the enterprises owned and managed by private individuals. This type of business organisation is usually classified as private sector enterprises. Examples of such private enterprises include sole proprietorship and partnership. The main objective of private enterprises is to maximize profits.

Characteristics of Private Enterprise

- i. Private individuals provide the capital: Private individuals that own the enterprises are responsible for raising capital for the establishment of the enterprise.
- ii. Ownership belongs to private individuals: Private individuals, e.g. sole proprietorship or partnership, are the ones that own the business enterprises.
- iii. Objective of business is to make profits: The purpose of setting up the business enterprise is to make profits for the owners.
- iv. Accountability is to the owners: The transactions of the business enterprises are usually accounted for and submitted to the owners.
- v. Owners bear the risk of the business: In the event of business failure or liquidation, the owners will have to bear the entire risks associated with such failures.

Public Enterprises

Public enterprises are the types of business organisations which are owned, controlled, and managed by the government. These business organisations are owned by either the federal, state, or local government, and their major objective is to provide social services to the people. They are associated with such names as authority, corporation, boards, and commissions. Examples of public enterprises include public corporations and companies owned by government such as the National Electric Power Authority (N.E.P.A), Nigerian Ports Authority (N.P.A), Nigerian

Television Authority (N.T.A), Nigerian Railway Corporation (N.R.C), and Nigerian Telecommunications Plc (N.I.T.E.L).

Characteristics of Public Enterprises

- i. Government provides the capital
- ii. Ownership belongs to the government
- iii. Objective is to provide social services
- iv. Management is accountable to the government
- v. Government and taxpayers bear the risks
- vi. Board of directors manage the business

Differences between Private and Public Enterprises

- i. Private enterprises are owned by individuals, while public enterprises are owned by government.
- ii. The capital to start up a private enterprise is provided by individuals, while capital is provided by government to start a public enterprise.
- iii. The major aim of private enterprise is to make profit, while the major aim of public enterprise is to provide social services to the people.
- iv. Private enterprises are controlled by owners or directors appointed by owners, while public enterprises are controlled by the Board of Directors appointed by the government.
- v. Private enterprises are established by ordinary registration or by incorporation, while public enterprises are established by Acts of Parliament.
- vi. Owners bear losses suffered by private enterprises, while taxpayers bear losses suffered by public enterprises.

Problems of Private Enterprises in Nigeria

1. **Inadequate capital:** Private enterprises do not have adequate capital required to set up and run a large business outfit.
2. **Insufficient raw materials:** Many private enterprises suffer from inadequate supply of raw materials necessary for maximum production.

3. **Inefficient management:** Private enterprises generally suffer from poor management because their owners, who run the business, may or may not have good knowledge of the kind of production they are engaged in.
4. **Poor power supply:** Many private enterprises do not have regular power supply to their companies, hence they have to generate their own power through generating sets, which increases cost of production.
5. **Lack of specialisation:** Lack of specialisation by owners of private enterprises leads to business failure, as most of them are illiterates who may not have clear ideas of what they are doing.

Company

A company is described as a voluntary association of persons who have come together for carrying on business and sharing the profits. A company is a natural legal entity formed by the association and group of people to work together towards achieving a common objective.

Types of Company

1. Limited Liability Company (LLC):

Limited liability is a type of legal structure for an organization where a corporate loss will not exceed the amount invested in a partnership or limited liability company. The liability is limited to the amount invested in the company. Owners and partners are not accountable for the firm's losses and debts. In other words, investors' and owners' private assets are not at risk if the company fails. Several limited liability structures exist, such as limited liability partnerships (LLPs), limited liability companies (LLCs), and corporations.

Types of Limited Liability Companies:

- **Private Limited Liability Company:** The owners of a private company have limited liability. The company's liability cannot be assumed as theirs. A Ltd. company has a limited number of shareholders. The owners are not allowed to sell shares/stocks publicly. The number of owners is limited to fifty shareholders.

- **Public Limited Liability Company:** A public limited company offers shares to the general public and has limited liability. Its stock can be acquired by anyone.

2. **Unlimited Liability Company:**

Unlimited liability refers to the full legal responsibility that business owners and partners assume for all business debts. An unlimited liability company includes general partnerships and sole proprietors who are equally responsible for all debts and liabilities accrued by the business. Section 21(1) of the Companies and Allied Matters Act (CAMA) 1990 defines it as one not having any limit on the liability of members in the event of company's debt or winding up.

3. **Quoted Company:**

A quoted company is one whose shares have been accepted for trading on a stock exchange. This makes it easier to raise capital, as shares once issued are made more marketable by being quoted on an organized exchange.

Examples of quoted companies include:

- i. Zenith Bank Plc
- ii. Dangote Cement Plc
- iii. Cadbury Nigeria Plc
- iv. BUA Cement Plc

4. **Unquoted Company:**

An unquoted public company or an unlisted public company is a firm that has issued equity shares that are no longer traded on a stock exchange. Companies might be unquoted because they are too small to qualify for a stock market listing, have too few shareholders for a listing, or have been delisted.

Unlisted Companies: These are companies that are not listed on the stock exchange, so they are privately owned. Since they are not on the list, they do not have the opportunity to raise funds, though they may rely on private capital investors.

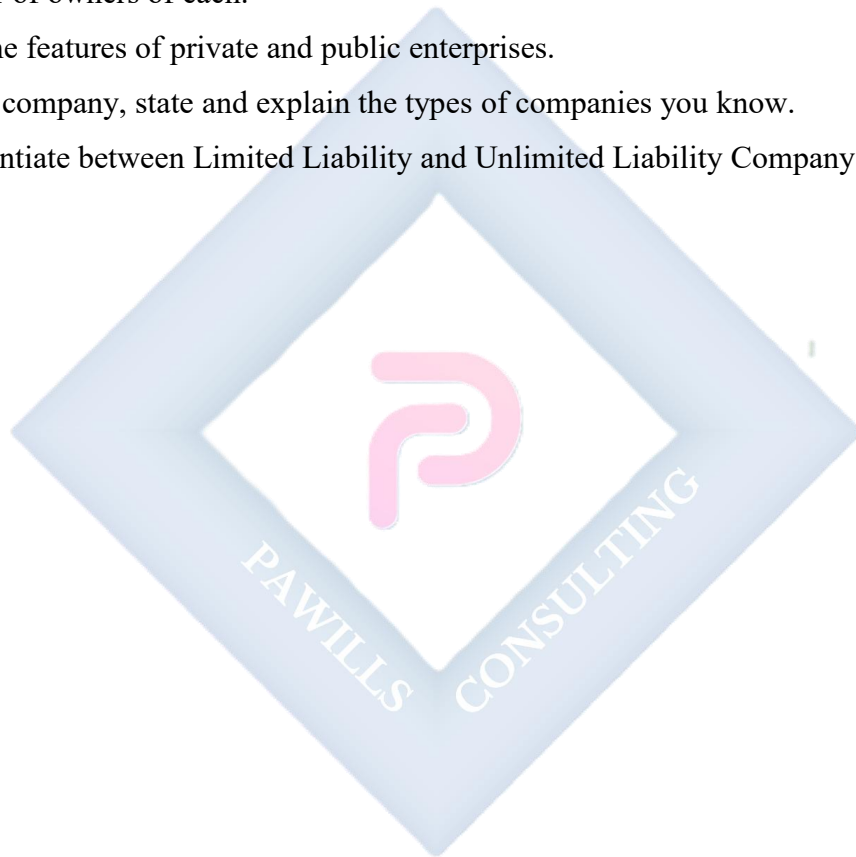
Evaluation

Explain firm, factory, industry and business organisation.

1. Explain types of business organisation and their characteristics.
2. Define company and state its types.

Assignment

1. Define business organisation, list six business organisations you know and state the number of owners of each.
2. State the features of private and public enterprises.
3. Define company, state and explain the types of companies you know.
4. Differentiate between Limited Liability and Unlimited Liability Company.



WEEK 9: POPULATION

Definition of Population

Population is defined as the total number of people living within a country or a geographical location at a particular time. In other words, population refers to the total number of children, youths (boys and girls), adults (men and women) living in a given geographical area, which may be a town, village, or country, at a specific time.

Determinants of Population Growth and Size

The three main factors that determine the population size of a given country are: **Birth Rate, Death Rate, and Migration.**

1. Birth Rate (Natality Rate)

The birth rate of a country refers to the rate at which children are being given birth to in that country. It is the number of live births per thousand of the population within a year. It is also at times called the Crude Birth Rate.

Formula:

Birth Rate = (Number of Births / Total Population) × 100

Factors affecting birth rate:

1. Early marriage
2. Desire for large family
3. Religious belief
4. Improved medical services
5. Improved standard of living
6. Ratio of male to female
7. Family planning
8. Infant mortality

2. Death Rate (Mortality Rate)

The death rate of a country refers to the rate at which people (both adults and children) die in a

country. It is the number of deaths per thousand of the population within a year. At times it is called the Crude Death Rate. Generally, high death rate leads to population decrease, while low death rate leads to population increase.

Formula:

$$\text{Death Rate} = (\text{Number of Deaths} / \text{Total Population}) \times 100$$

Factors affecting death rate:

1. Poor medical and health facilities
2. High cost of living
3. Natural disasters
4. Man-made disasters (e.g. war)
5. High level of ignorance
6. Poverty and high rate of infant mortality
7. Poor standard of living

3. Migration

Migration is the movement of people from one geographical area to another, involving permanent or temporary residence or settlement. It refers to the movement of people in and out of a country. The region where people are leaving is called the **Source Region**, while the region where people are entering is called the **Receiving Region** or **Destination**.

Types of Migration:

- **Immigration:** The inflow of people into a country from other countries. The person coming in is called an **immigrant**.
- **Emigration:** The movement of people out of a country. The person moving out is called an **emigrant**. Immigration increases the population size, while emigration decreases it.

Factors affecting migration:

1. Natural disasters

2. Climatic conditions
3. Insecurity
4. Difference in economic opportunities
5. Changes in status (e.g. high level of education and wealth)
6. Difference in social amenities
7. Political instability
8. War

Population Formulas

- $\text{Net Migration} = \text{Immigration} - \text{Emigration}$
- $\text{Natural Growth Rate} = \text{Birth Rate} - \text{Death Rate}$
- $\text{Population Growth Rate} = \text{Birth Rate} - \text{Death Rate} + \text{Net Migration}$

Population Growth

High / Increasing / Youthful Population:

A population with an increasing percentage of young people, while the relative percentage of old people is decreasing. It means the population growth rate is increasing in favor of the youths.

Advantages:

1. Provides large labour force
2. Provides large market for goods produced
3. Brings respect to a country from international bodies
4. Helps attract foreign investors
5. Attracts foreign aids

Disadvantages:

1. Puts too much pressure on natural resources
2. Tendency for increase in crime wave
3. Insufficient food for consumption

4. Problem of congestion in urban centres
5. Unemployment and under-employment

Declining / Ageing Population:

A population with an increasing percentage of adults/old people, while the relative percentage of youths is decreasing. There is a decrease in population growth rate for children and working-age people, while aged people are increasing.

Advantages:

1. Reduction in government expenditures
2. Reduction in congestion
3. High standard of living
4. Increase in saving
5. Increase in investment and income
6. Increase in employment opportunity

Disadvantages:

1. Reduction in labour force
2. Leads to under-population
3. Fall in Gross Domestic Product (GDP)
4. Lower rewards for factors of production
5. Increase in government expenditure

Evaluation

1. Briefly differentiate between youthful and ageing populations.
2. State factors affecting declining population.

Assignment**Section A (Objective):**

1. Increasing population is characterized by greater percentage growth rate of
A. adult B. male C. youth D. female
2. West African countries experience rapid population growth due to
A. existence of birth control clinics B. early marriages C. adequate sex education in schools D. late marriages
3. The region where people are leaving in migration is called
A. receiving region B. urban region C. source region D. rural region
4. Net Migration is the difference between
A. population and census B. immigrants and emigrants C. PCI and population D. internal and external migration
5. The natural growth rate of the population of a country is determined through
A. birth and death rate B. emigration and immigration C. birth rate and emigration D. immigration and death rate

Section B (Theory):

1. Differentiate between emigration and immigration.
2. Briefly explain the determinants of population size and growth of a country.

WEEK 10: MEANING OF LABOUR MARKET AND LABOUR FORCE

Labour: This refers to all human efforts, either skilled or unskilled, directed towards the production of goods and services.

Market: This refers to a place or any means of communication whereby sellers and buyers can exchange goods and services at prices determined by market forces.

Labour Market: This is defined as a market in which buyers and sellers of labour are in close contact, during which the wages and other conditions of services are determined and agreed upon.

The Concept of Labour Force

This refers to the total number of people of working age in a country who are able and willing by law to work. It is the active or working population and it comprises all persons who have jobs and those who are seeking jobs in the labour market. They are usually found between the age brackets of 18 to 65 years. The working population varies from one country to another.

Factors Affecting the Size of the Labour Force

1. **Population:** Population increases result in labour force increases. Both the strength of the influence and the magnitude are strong. A one per cent increase in state population results in a 0.74 per cent increase in labour force size.
2. **Income:** As state incomes grow, it attracts labour force entrants hoping to take advantage. However, a state's cost of living does not significantly influence labour force size.
3. **Educational Attainment:** A more educated society has a larger labour force.
4. **Homeownership:** A higher homeownership rate is associated with a slightly smaller labour force, as homeownership reduces mobility and negatively impacts labour force size.
5. **State-Specific Influences:** Some state-specific factors may influence labour force size, though they may be difficult to isolate without further data.

Efficiency of Labour

Efficiency of labour means the productive capacity of a worker. It indicates the ability of the worker to do more or better work during a given period.

Factors Affecting the Efficiency of Labour:

- **Personal Qualities of Labourers:** Efficiency is influenced by individual qualities.
- **General Education and Intelligence:** Education and intelligence foster honesty, perseverance, judgment, responsibility, and resourcefulness. An educated, hardworking person will generally be more efficient.
- **Standard of Living:** A worker with good food, clothing, housing, and healthy surroundings is more efficient.
- **Level of Technology:** A high level of technology increases labour efficiency.
- **State of Health:** Healthy workers are more efficient than sick ones.
- **Job Security:** Workers are more efficient when they feel their jobs are secure.

Mobility of Labour

Mobility of labour is the capacity and ability of labour to move from one place to another, from one occupation to another, or from one industry to another.

Types of Mobility:

1. **Geographical Mobility:** The ease with which workers can move from one geographical location to another.

Factors affecting geographical mobility:

- Cost of transportation
- Government policies (e.g. labour relocation schemes)
- Language barrier
- Family and cultural ties
- Availability of social and economic infrastructures

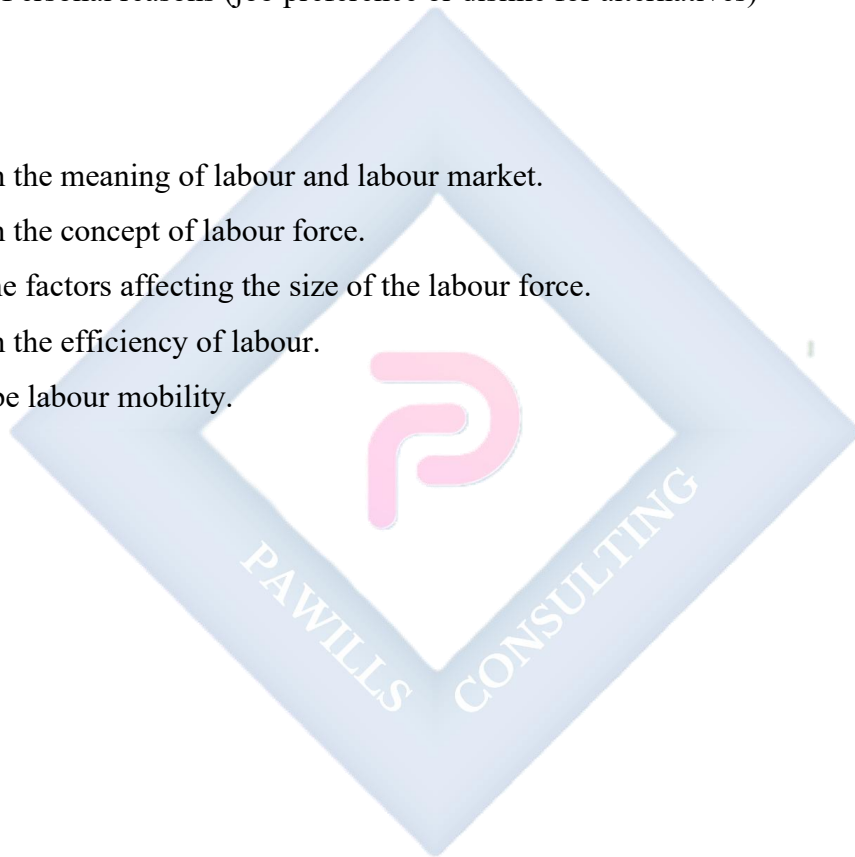
2. **Occupational Mobility:** The movement of workers from one occupation or job to another.

Factors affecting occupational mobility:

- Cost and length of training
- Trade union or professional restrictions
- Wage rate differences
- Political instability or religious crises
- Personal reasons (job preference or dislike for alternatives)

Assignment

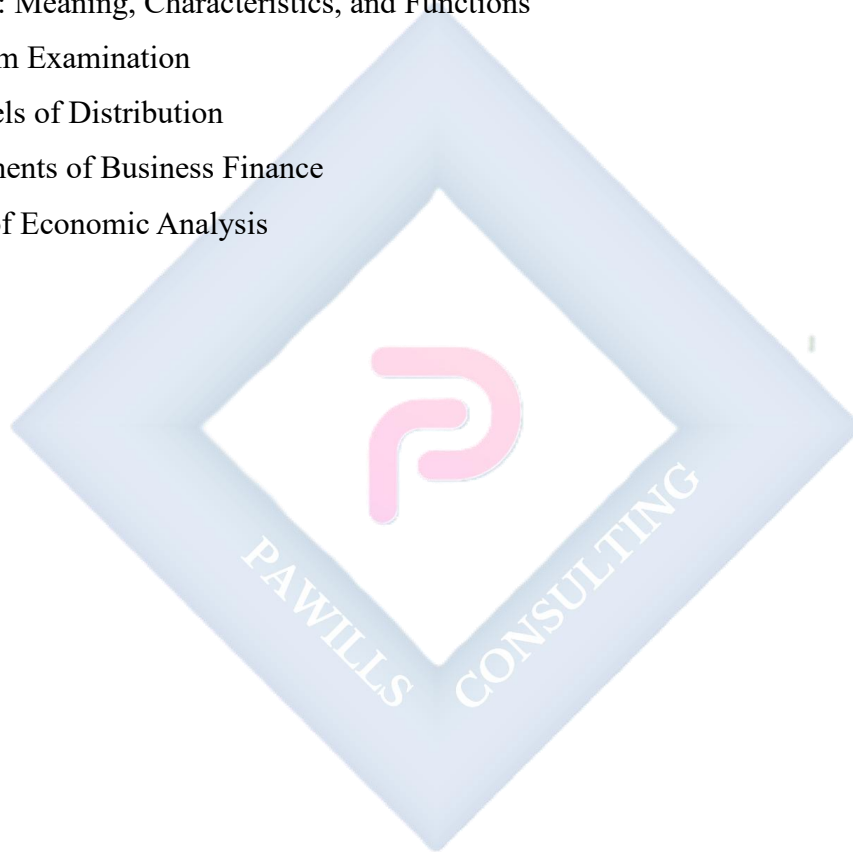
1. Explain the meaning of labour and labour market.
2. Explain the concept of labour force.
3. State the factors affecting the size of the labour force.
4. Explain the efficiency of labour.
5. Describe labour mobility.



SS 1 ECONOMICS LESSON NOTES

SECOND TERM

1. The Nature of the Nigerian Economy
2. Agriculture
3. Mining
4. Meaning of Financial Institutions
5. Midterm Examination
6. Money: Meaning, Characteristics, and Functions
7. Midterm Examination
8. Channels of Distribution
9. Instruments of Business Finance
10. Tools of Economic Analysis



WEEK 1: THE NATURE AND STRUCTURE OF NIGERIAN ECONOMY

General Overview of Nigerian Economy

Nigeria has a mixed economy structured around capitalism. In a mixed economy, private businesses may receive government intervention, and some sectors may be regulated or entirely controlled by the government. The name of the game is still fundamentally capitalist in nature: private businesses seek revenue in order to generate personal wealth.

Nigeria is home to over 200 million people, making it one of the most populous countries in the world. This allows it to have a proportionately large labour force, which helps sustain numerous different economic sectors.

Nigeria's economy increasingly revolves around importing and exporting. Today, one of Nigeria's largest exports is petroleum. Nigeria is the largest exporter of petroleum in all of Africa. Most of Nigeria's petroleum is purchased by India and the United States. Around 90% to 95% of Nigeria's export profits come from petroleum.

Nature and Structure of Industry in Nigeria

Industries in Nigeria can be grouped into three, namely: **primary, secondary, and tertiary industries.**

- **Primary Industry:** Deals with the extraction of natural resources. Forestry, agriculture, fishing, quarrying, mining, and mineral exploitation are all part of a country's economy. It is thus named because it serves as the foundation for all other items.
- **Secondary Industry:** Defined as the industry that deals with the raw materials effectively collected by the primary industry, converting them into finished products. These finished goods are in turn sold by the tertiary industries in the consumer market. In an economy, the industrial sector is dominated by the production and manufacturing of finished products. The secondary industry sector includes steel production, automobile manufacturing, and telecommunications, among others. This is the key sector that has the potential to transform world economies.

- **Tertiary Industry:** The services sector of an economy, encompassing medical providers, educators, financial services, haircuts, and personal trainers, among many others. The service sector is now the largest sector of the global economy in terms of value-added and is especially important in more advanced economies.

Additionally, Nigeria exports numerous agricultural products, including rubber and bananas. Palm oil, which has played an ever-important role in Nigeria's history, remains a significant export as well.

Economic Activities of the Six Geo-Political Zones

Nigeria has six geopolitical zones, namely: the **North-West, North-East, North-Central, South-West, South-East, and South-South.**

1. The North-West Geo-Political Zone

The states in this zone include Sokoto, Zamfara, Kebbi, Katsina, Jigawa, Kano, and Kaduna. The economic activities of this zone are mainly farming, fishing, and livestock rearing, especially cattle, sheep, and goats. They are also involved in industrial activities like mining (e.g., limestone in Sokoto).

2. The North-East Geo-Political Zone

This zone is located in the northern part of the country and consists of Yobe, Borno, Bauchi, Gombe, Adamawa, and Taraba. The major economic activities include farming, fishing, and livestock production, especially cattle, sheep, and goats. They are also involved in minor mining activities. This zone is the least endowed with mineral resources.

3. The North-Central Geo-Political Zone

This zone represents the Middle Belt of Nigeria and comprises Benue, Kogi, Nasarawa, Niger, and Plateau states. The Federal Capital Territory (FCT), Abuja, is also located in this zone.

The main activities include farming, fishing, hunting, trading, weaving, blacksmithing, dyeing, typing, and mat-making. Farming and fishing dominate due to the fertile nature of the soil and the presence of the Niger and Benue Rivers. Mining is also significant, with tin and columbite in Jos, gold and iron ore in Kogi, and limestone in Benue. Hydroelectric power generation is also notable in this zone, e.g., Kainji Dam.

4. The South-West Geo-Political Zone

This zone is made up of the six Yoruba-speaking states: Lagos, Ogun, Oyo, Ondo, Ekiti, and Osun. It is endowed with both agricultural and commercial activities.

The region engages in farming, particularly tree crops like cocoa, rubber, kola, and oil palm, as well as livestock activities such as poultry and piggery. Commercial activities are also important, with limestone in Ogun as a key resource.

5. The South-East Geo-Political Zone

This zone is made up of the five Igbo-speaking states: Anambra, Imo, Enugu, Abia, and Ebonyi.

The main economic activities are farming, with crops such as palm oil, rubber, kola, yam, cassava, and rice. The zone is also involved in mining activities (coal, petroleum, limestone). Additionally, the South-East is noted for heavy trading and local manufacturing, particularly in Abia and Anambra.

6. The South-South Geo-Political Zone

This zone comprises the six oil-producing states of the Niger Delta: Edo, Delta, Rivers, Bayelsa, Cross River, and Akwa Ibom.

The major economic activity is crude oil (petroleum) production, along with limestone in Edo and iron ore in Delta. Crop farming is also significant, with cocoa, oil palm, kola, and rubber.

Fishing thrives due to the Niger Delta location. Other important activities include trading, banking, and seaport operations.

ECONOMIC POTENTIALS OF THE NIGERIAN ECONOMY

The Nigerian economy is one of the largest in Africa. Since the late 1960s, it has been based primarily on the petroleum industry. A series of world oil price increases from 1973 produced rapid economic growth in transportation, construction, manufacturing, and government services.

Roughly between one-fifth to one-half of all Nigerians obtain a living from agricultural production. Most are small-scale subsistence farmers who produce only a little surplus for sale and who derive additional income from one or more cash crops and from the sale of local crafts.

Because petroleum dominated the economy, a great influx of rural people moved into larger urban centres. Agricultural production stagnated to such an extent that cash crops such as palm oil, peanuts (groundnuts), and cotton were no longer significant export commodities. By about 1975, Nigeria was forced to import basic commodities such as rice and cassava for domestic consumption.

This system worked well as long as revenues from petroleum remained constant. However, since the late 1970s, the agricultural sector has faced continuing crisis due to fluctuating world oil prices and the country's rapid population growth. Although much of the population remained engaged in farming, too little food was produced, making costly imports necessary. Various governments (mostly military) responded by banning agricultural imports and briefly focusing on agricultural and indigenization plans.

Because the soil is not entirely suited to mechanized farming, the hoe and machete continue to be the dominant farm implements. The shortage of farmland in some areas and limited access to land in others restrict the size of farms cultivated per family. Environmental degradation, poor storage facilities, weak transport systems, and a lack of investment capital also contribute to low productivity and agricultural stagnation. With rapid population growth and accelerating urbanization, the food deficit continues to worsen despite government interventions.

Root crops—particularly yam and cassava—are the main food crops in the south, while grains and legumes—such as sorghum, millet, cowpeas, and maize (corn)—are staple crops in the north. Rice is also an important domestic crop.

Tree crops—notably oil palm, cocoa, and rubber—are the principal industrial crops of the south, while peanuts (groundnuts) and cotton are the main industrial crops of the north. Small-scale farmers dominate the production of both food and industrial crops. Cocoa beans, from the cacao tree, remain Nigeria's major agricultural export, though production of other industrial crops has declined due to the overall stagnation in agriculture.

In 1982, in the first major step taken to halt the decline in industrial crop production, the government disbanded the produce marketing boards, which paid prices set by the government. Many farmers have since been motivated to cultivate tree crops, and the federal and state governments have established plantations of oil palm, rubber, and cocoa. Programs to alleviate the food shortage have featured the direct purchase and distribution of foodstuffs by government agencies and the production by government parastatals of various staples on large commercial farms. The Operation Feed the Nation program of 1976–80 sought to increase local food production and thereby reduce imports. Citizens were encouraged to cultivate any empty plot of land, with urban dwellers being encouraged to garden undeveloped building plots.

The raising of sheep, pigs, and goats was underdeveloped at the beginning of the 21st century. The cattle-herding Fulani are still the main beef producers, although some of the cattle under the care of these nomads belong to settled farmers and city dwellers. However, the level of meat consumption in Nigeria, as in most African countries, does not approach that of the West.

Fishing has assumed greater importance as a food source following the loss of thousands of head of livestock during the recurring drought in the Sahel since the early 1970s. The domestic catch supplies more than half of the fish demand. Lake Chad and the southern coastal waters are the main sources of fish, but large quantities are caught every year in pools in seasonal rivers of the northern states.

Resource extraction is the most important sector of the economy. The most economically valuable minerals are crude oil, natural gas, coal, tin, and columbite (an iron-bearing mineral that accompanies tin). Petroleum, first discovered in 1956, is the most important source of government revenue and foreign exchange.

Nigeria possesses significant reserves of coal, but these deposits are being developed gradually. Coal is used by the railroad, by traditional metal industries, and by power plants to generate electricity. Coal mining, initially concentrated around the city of Enugu and its environs, began in 1915.

EVALUATION:

- Give the general overview of Nigeria's economy.
- Explain the nature of industries in Nigeria.
- Describe economic activities in the six geopolitical zones in Nigeria.

ASSIGNMENT:

Analyse the role of different sectors in shaping the Nigerian economy.

WEEK 2: MEANING OF AGRICULTURE

Agriculture can be defined as the production of crops, animals, fishes, and forest resources for the consumption and other benefits of humans. It is a dominant occupation which employs about 65–70% of the total population of West Africa.

Components of Agriculture

Agriculture is made up of the following:

1. Livestock
2. Fishing
3. Crop production
4. Forestry

Livestock

This involves the rearing of domestic animals such as pigs, cattle, horses, donkeys, goats, and sheep. Most of these animals are reared to satisfy domestic consumption.

Forestry

This concerns the preservation of economic trees or plants. It also involves the extraction of various resources associated with forests, e.g., furniture, plywood, boats, manufacturing of paper, electric poles, etc. These are some of the things derived from plant preservation.

Crop Production

This involves cultivation of various crops. Crops are divided into two categories:

1. **Food Crops** – grown mainly for consumption, e.g., maize, rice, beans, cocoyam, yam, tomatoes, corn, millet, etc.
2. **Cash Crops** – grown mainly for sale either locally or for export, e.g., cocoa, palm oil, rubber, palm kernels, cotton, groundnut, etc.

Fishing

This involves breeding and catching of fish from rivers for human consumption. It constitutes a major occupation of people residing in riverine areas.

Systems of Agriculture

Systems of agricultural production include:

- a) Plantation farming
- b) Peasant farming
- c) Cooperative farming
- d) Mechanized farming

Plantation Farming

This involves the use of large estates of land permanently planted with economic or commercial crops. Examples include sugarcane, cotton, rubber, and tobacco. Land may be owned by the government, private individuals, or corporate bodies.

Peasant Farming

Also known as subsistence agriculture, this involves cultivation on a small scale (acres of land). Land is often communally owned, and mainly family labour is employed. The size of land used depends on family size and available land. Rudimentary tools such as cutlasses, axes, and hoes are used.

Cooperative Farming

In this system, farmers come together to form associations or unions. Such unions help them obtain loans and aid from government, and to hire or purchase farming equipment.

Mechanized Farming

This involves the extensive use of machines and advanced devices in agricultural production. It ensures large-scale production by replacing human labour with machines such as harvesters, ploughs, and tractors. However, this system is not yet fully popularized in West Africa.

Importance of Agriculture in West Africa

1. Source of raw materials
2. Provision of food
3. Provision of employment
4. Creation of market for industrial products

5. Source of income
6. Source of labour for industries

Problems of Agriculture in West Africa

1. Illiteracy/ignorance
2. Lack of medical facilities
3. Use of crude implements
4. Poverty
5. Lack of credit facilities
6. Lack of storage facilities
7. Poor transportation
8. Problem of land tenure system
9. Pests and diseases
10. Natural disasters

Solutions to the Problems of Agriculture

1. Granting of credit facilities to farmers
2. Improvement of transportation systems
3. Discouraging migration
4. Mechanization of agriculture
5. Effective control of pests and diseases
6. Provision of medical facilities
7. Education
8. Use of research
9. Irrigation

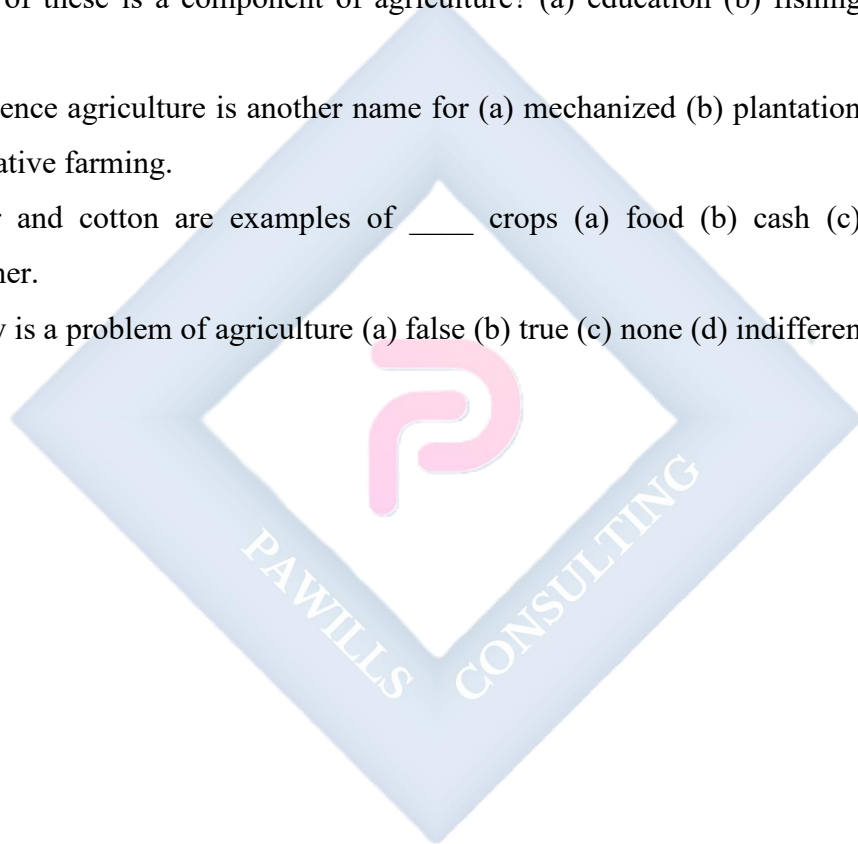
EVALUATION

1. Define agriculture.
2. Explain the components/structure of agriculture.
3. Describe the systems of agriculture.

4. State the importance of agriculture.
5. List the problems of agriculture.
6. State the solutions to the problems of agriculture.

ASSIGNMENT

1. Use of crude implement is a problem of ____ (a) transportation (b) agriculture (c) politics (d) environment.
2. Which of these is a component of agriculture? (a) education (b) fishing (c) cutlass (d) tractor.
3. Subsistence agriculture is another name for (a) mechanized (b) plantation (c) peasant (d) cooperative farming.
4. Rubber and cotton are examples of ____ crops (a) food (b) cash (c) plantation (d) consumer.
5. Poverty is a problem of agriculture (a) false (b) true (c) none (d) indifference.



WEEK 3: MINING

Meaning of Mining

Mining is the process of extracting useful minerals and metals from the surface of the earth, including the seas.

Examples include crude oil, gold, gravel, iron ore, diamond, coal, limestone, copper, etc.

Mining Sector

The mining sector is made up of all industries dedicated to finding the location of mining sites and extracting valuable metal and mineral reserves from the earth for commercial purposes.

Components of the Mining Sector

1. **Exploration and Mining (Upstream):** This sector of the economy is made up of the activities of mining and exploration companies. It is the process of finding mineral deposits in commercially viable quantities.
2. **Processing and Beneficiation (Midstream):** This sector comprises activities that transform minerals from their natural form into finished or semi-finished goods.
Examples: the activities of cement companies that transform limestone into cement; the activities of gold companies that change raw gold into gold cups or gold watches.
3. **Marketing and Transportation:** This comprises the activities of wholesalers, retailers, agents, and sales personnel who ensure that outputs from mining activities get to the consumer/end user.

Categories of Minerals in Nigeria

Category	Mineral	Location
Industrial	Barite	Benue, Plateau, Cross River
	Kaolinite	Imo, Enugu, Ondo, Edo
	Limestone	Sokoto, Bauchi, Gombe, Benue
	Gypsum	Imo, Kogi, Adamawa, Bayelsa
Energy	Coal	Enugu, Anambra, Benue, Delta

	Lignite	Enugu, Delta
	Uranium	Cross River, Akwa Ibom, Bayelsa
Metallic Ore	Gold	Osun, Abuja, Niger, Kebbi, Katsina
	Diamond	Kano, Gombe, Abia, Nasarawa, Taraba
	Copper and Silver	Kogi, Abia, Plateau, Kwara
	Iron Ore	Ebonyi, Akwa Ibom
	Lead-Zinc	Ebonyi, Akwa Ibom
Special Stones (Gemstones)	Sapphire	Yobe, Plateau, Taraba, Bauchi, Kaduna
	Emerald	Kogi, Taraba, Bauchi, Osun
	Tourmaline	Plateau (Jos), Oyo
	Garnet	Oyo, Osun, Bauchi

Mining Products and Their Uses

Product	Uses
Gold	Medals, statues, jewellery, watches, trophies.
Diamond	Cutting, drilling, engraving names, jewellery.
Silver	Silverware, jewellery, coins.
Coal	Cooking, electricity.
Gypsum	Wallboard, cement, POP, etc.
Granite	Used in building, bridges, tiles, etc.
Kaolinite	Paper, cement, rubber, ceramics.
Emerald	Gemstone used to make jewellery, relieve stress, increase mental alertness, enhance vision, and strengthen the immune system.
Sapphire	Gemstone used to make jewellery, relieve stress, increase mental alertness, enhance vision, and strengthen the immune system.

Positive Effects of Mining

1. **Revenue Generation:** Taxes, royalties, and licenses on mining activities are sources of government revenue.
2. **Raw Materials for Industries:** Limestone is used by cement industries; granite and gravel are used by construction companies.
3. **Improvement of Standard of Living:** Money earned from minerals is used to provide social and basic amenities, improving people's well-being.
4. **Foreign Exchange Earnings:** The export of minerals like petroleum, coal, and tin provides foreign exchange and a favourable balance of payment.
5. **Balance of Payment:** A financial record showing the relationship between a country's total payments to other countries and its receipts from them in a year.
6. **Employment Opportunities:** Mining provides jobs across different components of the sector.

Negative Effects of Mining

1. **Deforestation:** Mining often causes deforestation of large areas as companies expand territories for resource extraction.
2. **Effects Through the Food Chain:** Mining chemicals contaminate plants and animals, which in turn affect humans who consume them (e.g., fish contaminated with heavy metals).
3. **Air Pollution:** Heavy mining machines emit harmful gases that are injurious to human health.
4. **Erosion:** Extraction of deep earth resources may cause soil erosion, making land unsuitable for housing or farming.
5. **Hearing Issues:** Loud mining machines can damage workers' hearing if they are not properly protected.

Solutions to Negative Effects of Mining

1. **Government regulations:** One important measure against the potential adverse effects of mining on our environment is government regulations and restrictions. Authorities have

to make sure that mining is done in a responsible manner. This includes the protection of workers and also the protection of the local wildlife and plants.

2. **Reduce consumption:** Our excessive consumption levels also contribute to the problems caused by mining. In our daily life and in our society in general, everyone wants to have the newest smartphone, the hippest clothes, and so on. However, this also encourages manufacturers of phones to increase their production capacity.
3. **Education:** Education is another crucial measure against mining and its adverse effects on the environmental system. We have to show people how harmful mining can be to our planet. This education should start at a young age. By educating school children, they are likely to also convince their parents, and so parents are likely to pay more attention to this issue and act accordingly.
4. **Proper waste disposal:** Correct waste disposal is vital to curbing the environmental impact of mines, as some mining companies do not dispose of their waste according to guidelines. Companies can invest in equipment that helps in turning waste into reusable material, as well as adopting policies that allow for a more eco-friendly waste disposal routine.
5. **Improving the efficiency of manufacturing processes:** By closely monitoring the standard mining supply chain, the mining sector will be forced to confront the ways in which a company can improve its efficiency by seeing exactly where the organisation is lacking in terms of sustainability and mining initiatives, thus reducing the hazardous effects of mining sites on the environment.

EVALUATION

1. Define “*Mining*” and “*Mining sector*”.
2. State the components of the mining sector.
3. Highlight the categories of minerals and their locations in Nigeria.
4. List four positive and four negative effects of mining.

ASSIGNMENT

Explain at least five impacts of mining on development in Nigeria.

WEEK 4: FINANCIAL INSTITUTIONS

Meaning:

Financial Institutions are organizations which deal primarily in money. They help to pool excess liquidity and savings from individuals and firms within the country.

Types of Financial Institutions

1. Traditional financial institutions
2. Insurance companies
3. Commercial banks
4. The central bank
5. Development banks
6. Stock exchange market

Traditional Financial Institution

- **The Esusu:** This is a kind of co-operation which consists of people who agree to contribute a certain sum of money each and hand it to members of the group until every member receives his or her share.

Insurance Companies

- They guarantee the insured against risk of loss or harm.
- Insurance companies receive premiums on various types of risks insured against.

Central Bank

The Central Bank is a financial institution entrusted with the task of managing the currency of a country according to the form of monetary standard legally adopted by that country.

Functions:

- i. Controls the issue of currency notes and coins.

- ii. Acts as the bankers' bank — commercial banks have accounts with the Central Bank.
- iii. Acts as banker to the government.
- iv. Acts as lender of last resort — commercial banks borrow money from the Central Bank when other sources have failed.

Commercial Banks

These are financial institutions that accept deposits of money from customers and pay back on demand.

Functions:

- i. Accept deposits from customers.
- ii. Lend money to individuals, governments, and business organizations.
- iii. Provide facilities for the safe-keeping of valuables.
- iv. Help the government to put new money into circulation and to retire old money.

Development Banks

These are banks specially established to develop specific sectors of the economy, e.g., agriculture, commerce, and industries (NIDB, NBCI, NACB).

Stock Exchange Market

This is a market which exists to bring together those who wish to sell stocks or shares and those who wish to buy them.

Money Market

The money market is a market for short-term debt instruments. Its major function is to facilitate the raising of short-term funds by the deficit sector from the surplus sector of the economy.

It is made up of:

1. Commercial banks
2. Merchant banks
3. The Central Bank
4. Hire purchase companies

Benefits

1. Financial institutions allow the public to invest their money on a short-term basis and earn interest.
2. Investors and governments are provided with the opportunity of borrowing money for short-term financing of their projects.

CAPITAL MARKET

The primary aim of the Nigerian Capital Market is to mobilize long-term funds. The Nigerian Stock Exchange is the centre of the Capital Market.

DIVISIONS OF THE CAPITAL MARKET:

- **Primary Market:** A market for new issues of securities. The mode of offer includes offer for subscription, right issues, and debentures.
- **Secondary Market:** Consists of exchanges and over-the-counter markets where securities are bought and sold after their issuance in the primary market.

Institutions that operate in this market include:

Insurance companies, Issuing Houses, Development Banks, Investment Banks, Investment Trusts, Building Societies or Mortgage Banks, Finance Corporations, Savings Banks, and the Stock Exchange Market.

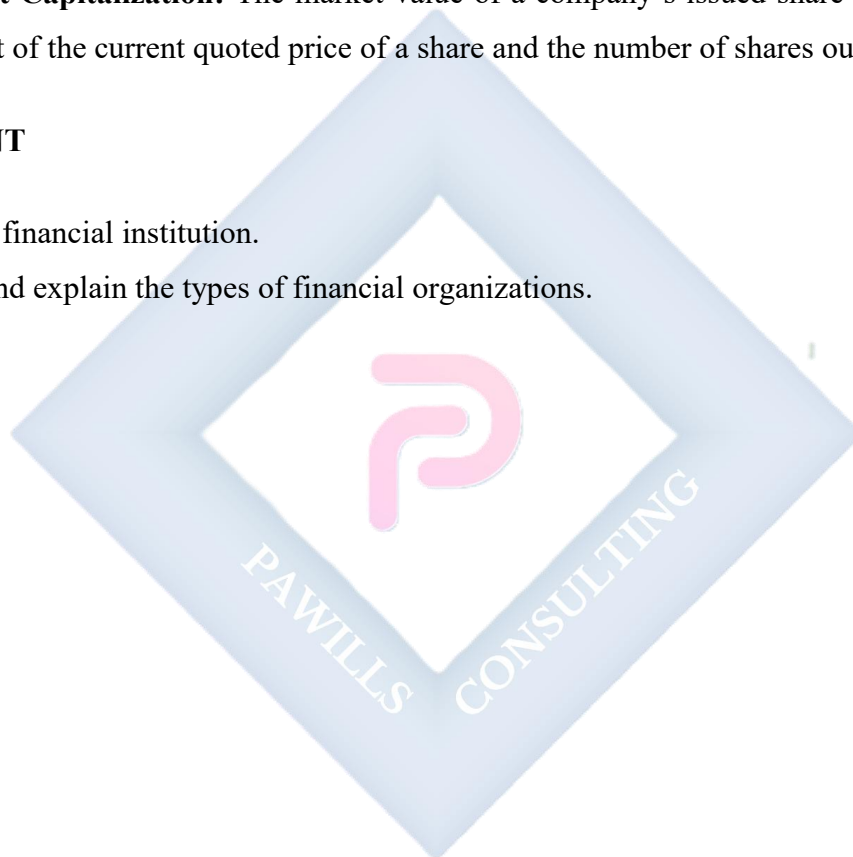
OTHER FINANCIAL INSTITUTIONS AND CONCEPTS

- **Bureau de Change:** Authorized since 1989 to broaden the foreign exchange market and improve accessibility, especially for small users. They act as dealers in the spot market for foreign exchange under the licensing of the Federal Ministry of Finance.
- **Discount House:** A special non-bank financial institution specializing in mobilizing funds from surplus sectors of the economy for channeling into deficit sectors. They serve as intermediaries between the CBN, licensed banks, and other financial institutions.
- **Distressed Banks:** Banks with problems relating to liquidity, poor earnings, and non-performing assets.

- **New Issues:** Securities raised in the primary market for the first time. An offer for subscription is an invitation by a company to the public to buy new issues.
- **Right Issues:** Shares offered to a company's existing shareholders in proportion to the number of shares held, usually at below market price to make the offer attractive.
- **Debenture:** Fixed interest-bearing securities.
- **Preference Share:** Shares of a company on which dividends must be paid before any other shares.
- **Market Capitalization:** The market value of a company's issued share capital. It is the product of the current quoted price of a share and the number of shares outstanding.

ASSIGNMENT

1. Define financial institution.
2. State and explain the types of financial organizations.



WEEK 6: MONEY

Money

Money is any object that is generally accepted as payment for goods and services and repayment of debts in a given country or socio-economic context. Money is any item or medium of exchange that symbolizes perceived value. As a result, it is accepted by people for the payment of goods and services, as well as the repayment of loans. Money is a medium of exchange that functions as legal tender, the official currency, in the form of banknotes, coins, etc., issued by a government or other authority.

Trade by barter

Barter is the direct exchange of goods or services—without an intervening medium of exchange or money—either according to established rates of exchange or by bargaining. It is considered the oldest form of commerce.

Barter is an act of trading goods or services between two or more parties without the use of money—or a monetary medium, such as a credit card. In essence, bartering involves the provision of one good or service by one party in return for another good or service from another party.

Examples of barter trade include exchanging a science textbook for a history book, or a plumber exchanging plumbing services for the dental services of a dentist, etc.

Benefits or advantages of trade by barter:

The advantages of barter system are:

- Bartering presents a practical solution for surmounting financial constraints. In circumstances of limited cash flow or economic downturns, bartering empowers individuals and businesses to acquire necessary goods and services without relying exclusively on monetary means.
- Natural resources will not be over exploited.
- Bartering promotes optimal resource utilization. It facilitates the utilization of excess or underutilized goods and services, preventing resource wastage.
- Power will not be concentrated in some circles.
- There won't be problems of balance of payments crisis, foreign exchange crisis.

- Bartering fosters environmental sustainability by reducing waste and consumption. It provides an alternative to the prevalent "buy-and-discard" culture inherent in modern consumerism.

Problems or disadvantages of trade by barter:

- There is no common measure of value. Lack of Common Measure of Value: One of the disadvantages of the barter system is having no common unit to measure the worth of goods and services. Hence, the problem arises with the proportion of goods to be exchanged.
- No standard unit of account.
- Problem of double coincidence of wants. This involves looking for someone who is in need of what you have and at the same time has what you need.
- Difficulty in storage of goods. The barter system, unlike money, does not encourage storage of wealth. It is difficult to store wealth or value, especially where perishable goods like yam and fresh tomatoes are involved.
- Inability to make deferred payments.

Brief Origin/Historical Development of Money

Money originated as a result of the problems of trade by barter. In the olden days, different commodities served as money in different countries of the world, such commodities as cattle, cowries, shells, tobacco, salt, and beads.

Later, precious metals like silver and gold were used. The use of paper money originated from the use of 'receipts' issued by Goldsmiths in London in exchange for deposits of precious metals. The receipts became banknotes, and the Goldsmiths became the bankers.

In recent times, people started accepting inconvertible paper money as a medium of exchange. For anything to serve as money, it must enjoy people's confidence.

Functions of Money

- **Medium of exchange:** Money's most important function is as a medium of exchange to facilitate transactions. Without money, all transactions would have to be conducted by barter, which involves direct exchange of one good or service for another. The difficulty with a barter system is that in order to obtain a particular good or service from a supplier, one has to possess a good or service of equal value, which the supplier also desires. In other words, in a barter system, exchange can take place only if there is a double coincidence of wants between two transacting parties. The likelihood of a double coincidence of wants, however, is small and makes the exchange of goods and services rather difficult.

- **Store of value:** In order to be a medium of exchange, money must hold its value over time; that is, it must be a store of value. If money could not be stored for some period of time and still remain valuable in exchange, it would not solve the double coincidence of wants problem and therefore would not be adopted as a medium of exchange.

- **Unit of account:** Money also functions as a unit of account, providing a common measure of the value of goods and services being exchanged. Knowing the value or price of a good, in terms of money, enables both the supplier and the purchaser of the good to make decisions about how much of the good to supply and how much of the good to purchase.

- **As a measure of value:** The value of goods and services is expressed by prices; therefore, money is used as a yardstick to measure and compare the worth of goods and services as well as occupations.

- **Standard for deferred payment:** Since money can be stored, it can be accumulated to pay debts that are fixed in terms of money. Money can serve as a medium by which business transactions on credit can be settled in the future. The use of money makes it possible for payments to be deferred from the present to some future date.

Characteristics or Qualities of Money

- **General acceptability:** An important quality of money is its acceptance. Good money requires

acceptance by all without any hesitation. Since the law declares money as the legal tender, it has an inherent quality of general acceptability.

- **Portability:** Apart from its acceptance, good money also requires portability. If people can carry or transfer money from one place to another, then it is good money.
- **Durability:** Acceptance and portability aside, the material used to make money must last for a long time without losing its value. For example, ice and fruits are not good money since they lose their value quickly with the passage of time. After all, ice melts and fruits perish. Therefore, durability is an essential quality of good money.
- **Divisibility:** Talking about the qualities of good money, it is important to remember the divisibility of money. If someone wants to buy a smaller unit of a commodity, then divisibility of money can make it possible. For example, cows cannot function as good money. This is because you cannot divide a cow without making it lose its value.
- **Homogeneity:** Look at two ₦100 naira notes. They look and feel identical, right? They also have the same value, size, colour, and quality. This is an important quality of good money – homogeneity. If money is not homogeneous, then transactions will become uncertain as people would be unsure of what they are receiving.
- **Cognizability:** The ability to recognize money is critically important. Today, we can look at a currency note and tell its value. If money is not cognizable, then people can find it difficult to determine if they are dealing with money or some inferior asset.
- **Stability:** Of all the qualities of good money, stability is probably the most essential one. The value of money cannot change for a long period of time and must remain stable. If the value of money keeps changing, then it will fail to function as a measure of value and as a standard of deferred payment.
- **Relative scarcity:** Money must be relatively scarce; that is, it must not be too plentiful so as not to lose its value.

Types or Forms of Money

- **Bank notes:** These are slips of paper or currency issued by the central bank. This type of money (paper) originated from the receipts issued by goldsmiths to those who deposited precious metals, e.g., gold, with them for safekeeping. Bank notes are in denominations and are portable, e.g., ₦5, ₦10, ₦20, ₦50, ₦100, ₦200, ₦500, and ₦1000.
- **Commodity money:** Commodity money might be defined as a specific product that people widely use to exchange for several other commodities. Commodity money is tangible, which means individuals can see and hold it. However, users recognize it because of its inherent quality. For example, gold, diamond, cattle, and beads.
- **Representative money:** Representative money is also known as near or quasi-money assets. Representative money is a certificate or token that can be exchanged for the underlying commodity. For example, instead of carrying the gold commodity money with you, the gold might have been kept in a bank vault, and you might carry a paper certificate that represents—or was "backed"—by the gold in the vault. It was understood that the certificate could be redeemed for gold at any time. Also, the certificate was easier and safer to carry than the actual gold. Over time, people grew to trust the paper certificates as much as the gold. Representative money led to the use of fiat money—the type used in modern economies today.
- **Fiat money:** Fiat money is any money the government has declared to be legal tender but is not backed by reserves. Its value is derived from its official recognition as a medium of exchange from government decree. Unlike commodity and representative money, fiat money is not backed by other commodities such as silver or gold, but its creditworthiness comes from the government recognizing it as money.
- **Fiduciary money/note:** Fiduciary money, or currency, refers to banknotes and coins in circulation in the economy. This is the liquidity available to economic actors to carry out transactions.
- **Deposit money:** This is a form of money kept in the accounts of the bank. Any money saved in the bank will be credited to the account of the depositor. The money in the deposit can be

transferred through the use of a cheque. A cheque is just an order to pay somebody and should not be considered as money.

- **Token money:** Token money refers to notes or coins for which the value written on them is greater than the value of the materials they are made from.

Similarities and Differences Between Money and Other Commodities Used for Exchange in Trade by Barter

Similarities

1. The prices of both are determined by the forces of demand and supply.
2. Both money and other commodities have their respective markets.
3. There is fluctuation in the value of money and other commodities.
4. Money and other commodities are used for exchange.
5. Both are demanded by people.

Differences

1. No double coincidence of wants is required in a monetary system.
2. Measure of value is possible in a monetary system, that is, we can measure each and every good in terms of money, which is not possible in a barter system.
3. Money can be transferred easily from one place to another, while this is not possible in a barter system.
4. Money is generally acceptable, while other commodities are not.
5. Money is divisible into smaller units, while other commodities are not.
6. Money is durable.

Evaluation

1. Define money.
2. List and explain four functions of money.
3. What is trade by barter? Give two examples.
4. State three advantages and three disadvantages of barter.
5. Briefly explain how money originated.
6. Mention and explain three characteristics of good money.
7. Differentiate between **commodity money** and **fiat money**.
8. List and explain any three types/forms of money.
9. State two similarities and two differences between money and barter.
10. Why is stability considered the most essential quality of money?

Assignment

1. Write short notes on the following:
 - a. Medium of exchange
 - b. Store of value
 - c. Unit of account
 - d. Standard for deferred payment
2. With relevant examples, explain **five characteristics of good money**.
3. Compare barter and money by listing **five similarities** and **five differences** between them.
4. Explain the historical development of money, showing how barter led to the use of paper money.
5. Draw a **table** to show the types/forms of money and give one example each.

WEEK 8: CHANNELS OF DISTRIBUTION

Definition and Significance

A channel of distribution refers to the path a product takes from producer to consumer. It includes all intermediaries—such as agents, wholesalers, and retailers—and functions like transportation, warehousing, and finance. Efficient distribution ensures the right product reaches the right place, at the right time, in the right quantity, and at an acceptable cost.

The Wholesaler

The wholesaler is the person who buys goods in large quantities from the manufacturer/producer and sells in small quantities to the retailers.

Functions of the Wholesaler

They perform many functions for the manufacturer, retailer, and consumers.

Functions of the wholesaler to the manufacturers

1. Provision of market: They help to find markets for them as well as helping to advertise their products.
2. Information: They serve as an indicator of the state of the market, i.e., telling them the market position of their goods.
3. Financing: They buy goods from manufacturers and pay them promptly.
4. Storage facility: They provide storage facilities, thereby relieving the manufacturers of the need to invest large amounts of capital in warehouses.
5. Risk bearing: They help the manufacturers to bear the risks of fall in prices, damage, or deterioration of a product.
6. Advisory services: They give useful advice to the manufacturer regarding the types of goods to produce, the quantity, and the nature of the goods.

Functions of the wholesaler to the retailers

1. They enable retailers to stock varieties of products.
2. They break bulk for the retailer, making it possible for them to buy goods in bits. It wouldn't be easy for them to buy straight from the manufacturers because they sell in large quantities.
3. They provide credit facilities to the retailers by selling goods on credit.
4. Some wholesalers deliver goods directly to the retailers, thus saving them the cost of running their own van.
5. They help to introduce new products to the retailer.
6. They help to promote retailers' sales through advertising.

Retailers

They are the last link in the chain of distribution. Retailers are those who buy goods from the wholesaler and sell to the final consumer.

Functions

1. They carry a variety of goods and make them available to consumers in the area they want.
2. They sometimes sell goods on credit to consumers who cannot pay immediately.
3. They give expert advice to consumers on the best brand to purchase as well as the usage of the goods.
4. Retail trade is easy to establish with little capital. It therefore provides employment to many people.
5. They inform the manufacturers of the type of goods consumers want, thereby preventing waste of resources. They also inform the consumers of new products and their uses.
6. They provide after-sales service to the consumer, e.g., delivering and servicing of bought items like TVs, cars, radios, etc.

7. Their hours of operation are long, and some even work on public holidays, making purchases convenient and easy for consumers. Some of them are situated near residential buildings.

The Role of Government in Product Distribution

Government agencies in distribution trade are trading organizations set up by the government to participate in the distributive trade. Their roles include:

1. They reduce the number of middlemen in the chain of distribution.
2. They help reduce the exploitation of consumers by the middlemen.
3. They help in price stabilization.
4. They ensure regular supply of goods.
5. They prevent hoarding of goods by the middlemen.

Co-operative Society

A co-operative society is an association of persons with common goals and objectives. The co-operatives pool their resources together. The co-operative is a democratic organization where there is equal right despite the difference in contribution among members. The profits are shared on the basis of purchases made by each individual member of the society.

Types of Co-operative Society

1. Consumers' co-operative society (sub-divided into two):
 - a. Consumer co-operative wholesale association
 - b. Consumer co-operative retailer association
2. Farmers' co-operative society

Role of Co-operatives in Product Distribution

1. They grant credit to their members.
2. They help to eliminate hoarding by the middlemen.
3. They bring products nearer to their members.

4. They help to stabilize the prices of products by selling them at cheaper rates to their members.
5. The co-operative sells goods in bits to their members.

Motives for Holding Money

1. Transactionary motive: Money is held for the desire to meet daily expenses such as purchases of food and clothes.
2. Precautionary motive: Money is held for the desire to meet up with emergency situations or unforeseen circumstances like illness or death.
3. Speculative motive: Money is held for fear of future rise or fall in prices of goods and services.
4. Money can serve as a store of value while other commodities cannot.
5. Money is homogeneous while other commodities are not.

Assignment

- a) Discuss five functions of money.
- b) State and explain six forms of money.
- c) Highlight six (6) problems posed by trade by barter.
- d) Explain the reasons people prefer to hold money.

WEEK 9: INSTRUMENTS OF BUSINESS FINANCE

Business finance is the lifeblood of any enterprise, providing the necessary capital for operations, expansion, and sustainability. Companies require funds to purchase assets, pay employees, and manage day-to-day expenses. These funds can be acquired through various financial instruments, broadly categorized into equity financing, debt financing, hybrid instruments, and alternative financing methods. Each instrument has distinct features, advantages, and disadvantages, making it suitable for different business needs. This essay explores these instruments in detail, providing insights into their mechanisms and applications in real-world business scenarios.

Equity Financing

Equity financing involves raising capital by selling ownership stakes in a company. Investors who purchase equity become shareholders and are entitled to a portion of the company's profits.

1. Shares (Stocks)

Shares represent units of ownership in a company and are issued in the stock market. There are two main types:

a) Ordinary Shares (Common Stock)

Ordinary shares grant shareholders voting rights, allowing them to participate in major company decisions, such as electing the board of directors. Dividends for ordinary shareholders are not fixed and are paid only if the company declares a profit. However, in the event of liquidation, ordinary shareholders are the last to be paid, making this a high-risk investment.

Advantages:

- i. No repayment obligation, reducing financial pressure on the company.
- ii. Attracts long-term investors who believe in the company's growth.

Disadvantages:

- i. Dilution of ownership, as issuing more shares reduces the control of existing shareholders.
- ii. Dividend payments are not tax-deductible, unlike interest on loans.

b) Preference Shares (Preferred Stock)

Preference shares provide shareholders with a fixed dividend, paid before ordinary shareholders. However, they usually do not carry voting rights. In case of liquidation, preference shareholders are paid before ordinary shareholders but after debt holders.

Advantages:

- i. Stable income for investors through fixed dividends.
- ii. Less risky than ordinary shares due to priority in dividend payments.

Disadvantages:

- i. Higher cost for the company compared to debt, as dividends must be paid even in low-profit periods.
- ii. Limited capital appreciation, as preference shares do not benefit significantly from company growth.

2. Retained Earnings

Retained earnings refer to profits that a company reinvests into its operations rather than distributing them as dividends. This internal source of financing is crucial for business growth without incurring debt or diluting ownership.

Advantages:

- i. No interest or repayment obligations.
- ii. Maintains full ownership and control.

Disadvantages:

- i. Limited by the company's profitability.
- ii. Shareholders may prefer dividends over reinvestment, leading to dissatisfaction.

Debt Financing

Debt financing involves borrowing funds that must be repaid with interest over a specified period. Unlike equity, lenders do not gain ownership in the company.

1. Loans

Loans can be short-term or long-term, depending on the business's needs.

a) Short-term Loans (Overdrafts, Trade Credit)

- *Overdrafts:* Allow businesses to withdraw more money than they have in their accounts, up to a pre-approved limit. Interest is charged only on the amount used.
- *Trade Credit:* Suppliers permit businesses to purchase goods and pay for them at a later date, usually within 30 to 90 days.

Advantages:

- i. Provides flexibility in managing cash flow.
- ii. No collateral is required for trade credit.

Disadvantages:

- i. High interest rates for overdrafts.
- ii. Late payments can damage supplier relationships.

b) Long-term Loans (Term Loans, Mortgages)

- *Term Loans:* Repaid over several years with fixed or variable interest rates, often used for business expansion.
- *Mortgages:* Secured loans where property is used as collateral.

Advantages:

- i. Fixed repayment schedules aid financial planning.
- ii. Interest payments are tax-deductible.

Disadvantages:

- i. Strict repayment terms; defaulting can lead to asset seizure.
- ii. Requires a strong credit history for approval.

2. Bonds (Debentures)

Bonds are long-term debt securities where investors lend money to a company in exchange for periodic interest payments and the return of the principal at maturity.

Advantages:

- i. Lower interest rates compared to bank loans.
- ii. Can be traded in financial markets, providing liquidity.

Disadvantages:

- i. Legal obligation to repay, even in financial distress.
- ii. Requires a good credit rating to attract investors.

Hybrid Instruments

Hybrid instruments combine features of both equity and debt financing.

1. Convertible Debentures

These are bonds that can be converted into company shares after a specified period.

Advantages:

- i. Lower interest rates due to the conversion option.
- ii. Flexibility for businesses to avoid immediate equity dilution.

Disadvantages:

- Future dilution of ownership if converted.

Alternative Financing Methods

1. Leasing

Leasing allows businesses to use assets without purchasing them outright. Payments are made periodically, and the lessor retains ownership.

Advantages:

- i. No large upfront capital required.
- ii. Access to modern equipment without long-term commitment.

Disadvantages:

- i. Total lease payments may exceed the asset's purchase price.
- ii. No ownership benefits, such as asset appreciation.

2. Venture Capital & Angel Investors

- *Venture Capital:* Funds provided by firms to startups with high growth potential in exchange for equity.
- *Angel Investors:* Wealthy individuals who invest personal funds in early-stage businesses.

Advantages:

- i. Provides mentorship and industry connections.
- ii. No repayment required if the business fails.

Disadvantages:

- i. Loss of control as investors may influence business decisions.
- ii. High expectations for returns on investment.

3. Crowdfunding

Crowdfunding involves raising small amounts of money from a large number of people, typically via online platforms.

Advantages:

- i. Access to capital without traditional lenders.
- ii. Market validation through public interest.

Disadvantages:

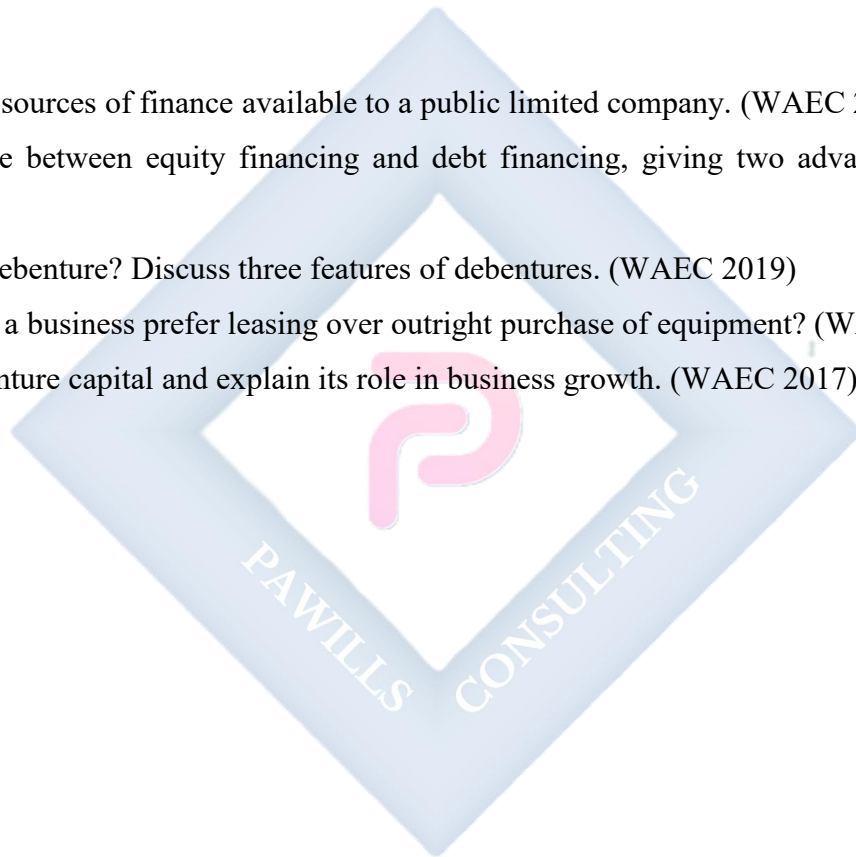
- i. High competition for investor attention.
- ii. Potential loss of intellectual property if ideas are publicly shared.

Conclusion

The choice of financing instrument depends on factors such as cost, control, repayment terms, and business stage. Equity financing avoids debt but dilutes ownership, while debt financing ensures control but increases repayment risks. Hybrid and alternative methods offer flexible solutions for businesses with unique needs. Understanding these instruments enables entrepreneurs to make informed financial decisions that align with their business goals.

Assignment

- i. Explain five sources of finance available to a public limited company. (WAEC 2018)
- ii. Differentiate between equity financing and debt financing, giving two advantages of each. (WAEC 2020)
- iii. What is a debenture? Discuss three features of debentures. (WAEC 2019)
- iv. Why might a business prefer leasing over outright purchase of equipment? (WAEC 2021)
- v. Describe venture capital and explain its role in business growth. (WAEC 2017)



WEEK 10: PRODUCTION POSSIBILITY CURVE (PPC)

The production possibility curve (PPC), also known as the Production Possibility Boundary (PPB), refers to a graph or a curve showing the possible combinations of different commodities that can be produced in a given economy, taking into consideration the prevailing level of technology, if all the available productive resources are efficiently utilised.

In other words, PPC is a graphical representation of all possible combinations of two or more types of commodities which a society can produce with a given quantity of resources.

Note that the idea behind the production possibility curve is that, in order to produce a particular commodity, the production of another commodity has to be sacrificed. PPC has a downward slope from left to right, indicating that there is an opportunity cost of producing more of one type of commodity. The cost is, however, measured in terms of quantity forgone of the other types of commodities.

Example 1: Production Possibility Table for Consumer Goods and Capital Goods

Units of Consumer Goods Units of Capital Goods

0	140
40	130
60	120
80	100
100	80
120	50
140	0

Production Possibility Table:

More of one type of commodity and less of the other due to limited resources and technical know-how.

Example 2: Production Possibility Table for the Production of Cattle and Motor Vehicles by South Africa

Possible Combinations Heads of Cattle No. of Motor Vehicles

A	200	0
B	170	30
C	100	70
D	80	130
E	40	150
F	0	180

The table above shows the alternatives open to South Africa to substitute the production of cattle for vehicles on a monthly basis, assuming a given state of technology and a given total quantity of resources available.

Relationship between PPC and Opportunity Cost

Opportunity cost, by definition, is the satisfaction of one want at the expense of another want. It refers to the wants that are left unsatisfied in order to satisfy another more pressing need.

The PPC is directly connected with opportunity cost. The PPC involves sacrifice in the production of one commodity in order that another one can be produced. Once more resources are allocated to the production of a commodity, fewer resources will be allocated to the production of others because resources are scarce.

PPC has a downward slope from left to right, indicating that there is an opportunity cost involved in the production of more of one type of commodity. The cost is, however, measured in terms of the quantity of another commodity forgone or sacrificed.

Concept of Total, Average, and Marginal Productivity

- **Total Productivity (TP):**

Total Productivity (TP), also known as total output or total product, refers to the total quantity of a commodity produced with all the units of factors of production employed.

Mathematically:

$$\text{TP} = \text{AP} \times \text{Labour}$$

Example:

If 60 men were employed in a farm and they produce an average of 30 tonnes of rice per person, calculate the total product.

Solution:

$$\text{TP} = \text{AP} \times \text{Labour}$$

$$\text{TP} = 30 \text{ tonnes} \times 60$$

$$\text{TP} = 1,800 \text{ tonnes}$$

- **Average Productivity (AP):**

Average Productivity (AP), also known as average output, is the output per unit of the variable factors of production like labour or capital employed.

Mathematically:

$$\text{AP} = \text{Total Product} \div \text{No. of Labour (or Capital) Employed}$$

Example:

If 4,000 tonnes of maize were harvested by 80 men in a farm on a daily basis, calculate the average output.

Solution:

$$\text{AP} = \text{Total Output} \div \text{No. of Labour}$$

$$\text{AP} = 4,000 \div 80$$

$$\text{AP} = 50 \text{ tonnes/person}$$

- **Marginal Productivity (MP):**

Marginal Productivity (MP), also known as marginal output, refers to the additional output achieved by employing an additional unit of the variable factors of production. MP can be negative if the employment of an additional variable factor results in a decrease in total output.

Mathematically:

$$\text{MP} = \text{Change in TP} \div \text{Change in Variable Factor}$$

Example:

4,080 tonnes of cassava were harvested from the same farm as a result of adding one more man to the 80 men. Calculate the marginal product.

Solution:

$$\text{MP} = (4,080 - 4,000) \div (81 - 80)$$

$$\text{MP} = 80 \div 1$$

$$\text{MP} = 80$$

Total Product, Average Product, and Marginal Product Table

No. of Workers	Total Product (kg)	Average Product (kg)	Marginal Product (kg)
1	4	4	-
2	12	6	8
3	24	8	12
4	40	10	16
5	45	9	5
6	48	8	3
7	42	6	-6

Relationship Between Total Product, Average Product, and Marginal Product

The relationship between total, average, and marginal product can best be demonstrated by a graph. TP, AP, and MP rise initially. TP rises sharply and curves at a maximum when MP is zero. TP declines after $MP = 0$, and MP assumes a negative value.

Assignment

The table below shows the various possible combinations of military and civilian goods produced by a country, using the available resources and technology. Use the table to answer the questions that follow:

Military Goods (tonnes) Civilian Goods (tonnes)

0	200
20	160
40	120
60	80
80	40
100	0

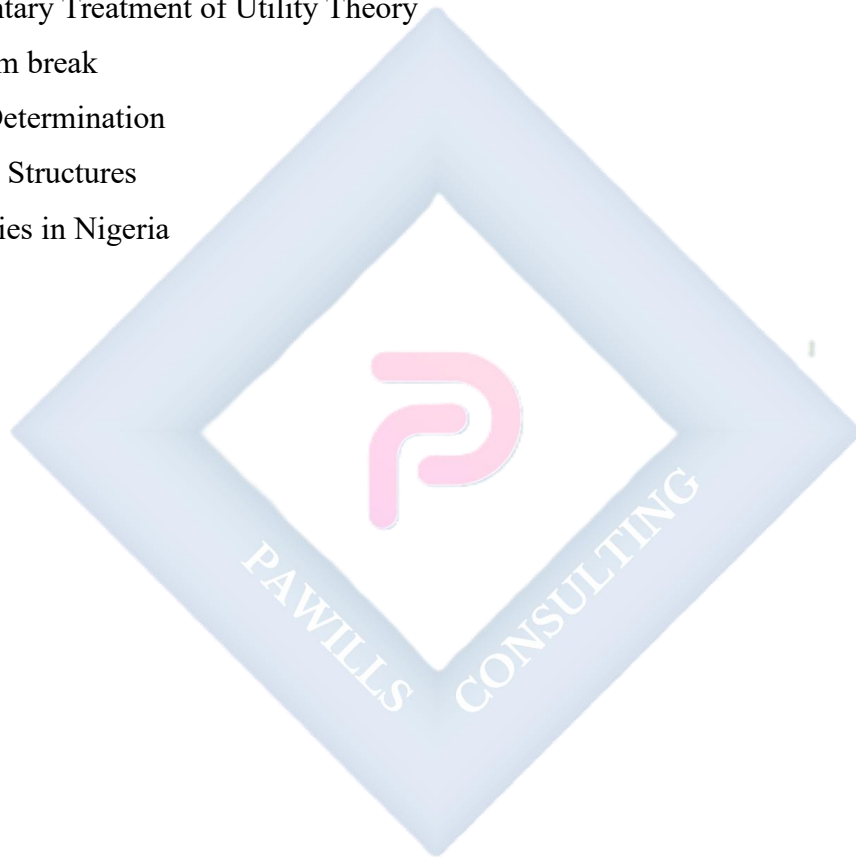
1. Draw the production possibility curve (PPC).
2. Indicate points **D** and **K** at which production is not feasible.
3. Indicate points **M** and **N** at which resources are not efficiently utilised.
4. What does the downward slope of the PPC indicate?
5. Why is production not feasible at points **S** and **K**?

(WASSCE June 2001)

SS1 ECONOMICS LESSON NOTES

THIRD TERM

1. Cost Concepts
2. Revenue Concepts
3. Types and Features of Economic Systems
4. Labour Market
5. Midterm examination
6. Elementary Treatment of Utility Theory
7. Midterm break
8. Price Determination
9. Market Structures
10. Industries in Nigeria



WEEK 1: COST CONCEPTS

Introduction

In economics, cost refers to the expenditure incurred in the production of goods and services. It is a fundamental concept that influences business decisions, pricing strategies, and resource allocation. Understanding cost structures helps firms optimize production, maximize profits, and maintain competitiveness. This lesson will provide an in-depth analysis of cost concepts, their classifications, and real-world applications.

Types of Costs in Economics

1. Fixed Costs (FC) – Overhead Costs

Fixed costs are expenses that do not change with the level of production. They must be paid even if output is zero.

Examples:

- i. Rent for factory space
- ii. Salaries of permanent staff
- iii. Insurance premiums
- iv. Depreciation of machinery

Key Characteristics:

- **Time-bound:** Fixed in the short run but may change in the long run (e.g., a company relocating to a cheaper facility).
- **Unavoidable:** Must be paid regardless of business performance.

2. Variable Costs (VC) – Direct Costs

Variable costs fluctuate with the level of production. They increase as output rises and decrease when production falls.

Examples:

- i. Raw materials (e.g., flour for a bakery)
- ii. Wages of temporary workers
- iii. Electricity for machinery
- iv. Packaging costs

Key Characteristics:

- i. Directly linked to production: No production means no variable costs.
- ii. Can be controlled in the short run (e.g., reducing raw material purchases).

3. Total Cost (TC)

Total cost is the sum of fixed and variable costs at any production level.

$$TC = FC + VC$$

Example:

If a company's fixed cost is ₦50,000 and variable cost is ₦30,000 at 100 units, then:

$$TC = ₦50,000 + ₦30,000 = ₦80,000$$

4. Average Cost (AC) – Cost Per Unit

Average cost is the total cost divided by the number of units produced.

$$AC = \frac{TC}{Q}$$

Example:

If total cost is ₦80,000 for 100 units:

$$AC = \frac{₦80,000}{100} = ₦800 \text{ per unit}$$

5. Marginal Cost (MC) – Cost of Producing One More Unit

Marginal cost is the additional cost of producing one extra unit.

$$MC = \frac{\Delta TC}{\Delta Q}$$

Example:

If producing 100 units costs ₦80,000 and 101 units cost ₦80,500, then:

$$MC = ₦80,500 - ₦80,000 = ₦500$$

6. Opportunity Cost – The Real Cost of Choices

Opportunity cost is the value of the next best alternative given up when making a decision.

Examples:

- A student choosing to study instead of working part-time loses potential earnings.
- A farmer using land for maize instead of yam sacrifices yam profits.

Why It Matters:

- Helps in rational decision-making (e.g., businesses choosing between projects).
- Explains trade-offs in resource allocation.

7. Explicit vs. Implicit Costs

- **Explicit Costs:** Direct, out-of-pocket payments (e.g., wages, rent).
- **Implicit Costs:** Indirect costs, such as foregone income (e.g., an entrepreneur not taking a salary).

8. Sunk Costs – Irrecoverable Expenses

Sunk costs are past expenditures that cannot be recovered and should not influence future decisions.

Example:

A company spends ₦1 million on research for a failed product. The money is gone and should not affect new investment choices.

Cost Curves and Their Economic Implications

1. Short-Run vs. Long-Run Costs

- Marginal Cost (MC) intersects AC at its lowest point (most efficient production level).

Graphical Analysis:

- Firms aim to produce where **MC = MR (Marginal Revenue)** for profit maximization.

Real-World Applications of Cost Concepts

i. Business Pricing Strategies:

- Companies use cost-plus pricing (adding a profit margin to AC).
- Understanding MC helps in competitive pricing.

ii. Government Policy:

- Subsidies reduce production costs (e.g., fuel subsidies).
- Taxes increase costs (e.g., VAT on goods).

iii. Personal Finance:

- Opportunity cost explains career choices (e.g., university vs. immediate employment).

ASSIGNMENT

Section A: Multiple Choice (Objectives)

1. Which cost remains constant regardless of production level?
 - A) Variable cost
 - B) Marginal cost
 - C) Fixed cost
 - D) Opportunity cost
2. If producing 50 units costs ₦200,000 and 51 units costs ₦202,000, the marginal cost is:
 - A) ₦2,000
 - B) ₦4,000
 - C) ₦200,000
 - D) ₦202,000
3. The real cost of choosing one alternative over another is called:
 - A) Fixed cost
 - B) Sunk cost
 - C) Opportunity cost
 - D) Variable cost

Section B: Essay Questions

- a) Define:
 - i. Fixed cost
 - ii. Variable cost
 - iii. Marginal cost
- b) Explain how a business can use cost analysis to determine the optimal level of production.
- c) Differentiate between explicit and implicit costs with examples.

d) Why is opportunity cost important in economic decision-making?



WEEK 2: REVENUE CONCEPT

Meaning of Revenue

Revenue refers to the income a firm generates from the sale of goods and services. It is a key concept in economics, helping businesses determine profitability and make production decisions.

Types of Revenue

1. Total Revenue (TR)

Definition: The total income a firm earns from selling its output.

Formula:

$$TR = \text{Price (P)} \times \text{Quantity Sold (Q)}$$

Example:

If a company sells 100 pens at ₦50 each,

$$TR = 100 \times \text{₦}50 = \text{₦}5,000$$

2. Average Revenue (AR)

Definition: Revenue earned per unit of output sold.

Formula:

$$AR = \frac{TR}{Q}$$

Note: In perfect competition, **AR = Price** (since all units are sold at the same price).

3. Marginal Revenue (MR)

Definition: The additional revenue from selling one more unit of output.

Formula:

$$MR = \frac{\Delta TR}{\Delta Q}$$

Example:

If selling 10 more units increases TR from ₦1,000 to ₦1,200,

$$MR = \frac{(\text{₦1,200} - \text{₦1,000})}{10} = \text{₦20}$$

Relationship between Revenue Concepts**Under Perfect Competition (Price-Taker Market):**

- Price remains constant regardless of quantity sold.
- **AR = MR = Price** (since each additional unit is sold at the same price).
- TR increases at a constant rate (straight-line graph).

Under Imperfect Competition (Monopoly, Oligopoly, etc.):

- Price decreases as quantity sold increases (firms must lower prices to sell more).
- **AR > MR** (because selling more units reduces the price for all units).
- TR increases at a decreasing rate, peaks, and then declines.

Revenue Schedules and Curves**Example Revenue Schedule (Perfect Competition)**

Quantity (Q)	Price (P)	TR (P × Q)	AR (TR/Q)	MR (ΔTR/ΔQ)
0	₦50	₦0	-	-
1	₦50	₦50	₦50	₦50
2	₦50	₦100	₦50	₦50
3	₦50	₦150	₦50	₦50

Observation: $AR = MR = \text{Price (constant)}$.

Example Revenue Schedule (Imperfect Competition)

Quantity (Q) Price (P) TR ($P \times Q$) AR (TR/Q) MR ($\Delta TR/\Delta Q$)

0	₦50	₦0	-	-
1	₦50	₦50	₦50	₦50
2	₦45	₦90	₦45	₦40
3	₦40	₦120	₦40	₦30

Observation: AR decreases as Q increases; MR decreases faster than AR.

Graphical Representation

Total Revenue (TR) Curve:

- **Perfect Competition:** Straight upward-sloping line (constant MR).
- **Imperfect Competition:** Rises, peaks, then falls (due to decreasing MR).

Average Revenue (AR) & Marginal Revenue (MR) Curves:

- **Perfect Competition:** AR and MR are the same (horizontal line at market price).
- **Imperfect Competition:**
 - AR curve = Demand curve (downward-sloping).
 - MR curve is steeper and lies below AR.

Importance of Revenue Concepts

- **Profit Maximization:** Firms produce where $MR = MC$ (Marginal Cost).

- **Pricing Decisions:** Helps firms set optimal prices in different market structures.
- **Business Strategy:** Understanding revenue trends aids in production planning.

Conclusion

Revenue concepts (TR, AR, and MR) are fundamental in economics, helping firms analyze income generation and make informed business decisions. The relationship between these concepts varies depending on market structure (perfect vs. imperfect competition).

Assignment

- a) Define Total Revenue (TR), Average Revenue (AR), and Marginal Revenue (MR).
- b) How are Total Revenue, Average Revenue, and Marginal Revenue related in a perfectly competitive market?
- c) Calculate Marginal Revenue when output increases from 5 units to 6 units and Total Revenue increases from ₦200 to ₦240.

WEEK 3: BASIC ECONOMIC SYSTEM

An economic system can be defined as an organized way by which the means of production in a state or nation are owned, managed, and utilized to satisfy human wants.

Types of Economic Systems

- i. Capitalism or Free-Market Economics
- ii. Socialism / Controlled / Centrally Planned
- iii. Mixed Economic System

Capitalism / Free Market / Laissez-faire Economy

It is an economic system in which all or most means of production are owned and controlled by private individuals, and government control is at a minimum. Countries that practice capitalism include the USA, Italy, Japan, Australia, Germany, France, etc.

Features of Capitalism

1. **Private Ownership of Property:** The private sector owns and controls the means of production with minimal participation from the state/government.
2. **Production and Consumption Regulated by the Price System:** That is, by market forces.
3. **Existence of Competition:** Due to private ownership, it leads to competition or rivalry between and among firms.
4. **Maximization of Profit:** The sole aim of production is to make profit.
5. **Free Market Enterprise:** It allows people to choose their occupation based on their capability.
6. **Individual Satisfaction:** It enables an individual to embark on actions for the least sacrifice that would give greater satisfaction.
7. **Accumulation of Wealth:** Due to individual ownership, a capitalist can accumulate wealth.

8. **Freedom of Choice:** Many goods are produced, which helps the consumer to have a wide range of choices.
9. **Labour as a Commodity:** Labour is regarded as a marketable commodity.

Advantages of Capitalism

1. **Freedom of Enterprise:** People are not forced into a system.
2. The presence of profit maximization encourages hard work and efficiency in production.
3. It encourages fast economic development due to the participation of many people in the production of goods and services.
4. It encourages economic competition among producers and consumers.
5. It provides an alternative choice of goods and services.
6. It promotes a higher standard of living. The production of goods and services at competitive prices helps to raise the standard of living.
7. It leads to specialization due to increased large-scale production.
8. It ensures self-regulation and reliance. That is, it allows individuals to regulate their economic activities as well as helps them to be self-reliant.
9. It enhances technological development.

Disadvantages of Capitalism

1. It creates monopoly, as only a few individuals control the means of production and distribution.
2. It leads to economic inequalities. Only a few individuals have full control of the means of production and distribution, which can lead to uneven distribution of wealth.
3. It leads to economic exploitation, as a few individuals exploit the majority by charging higher prices.
4. It causes economic insecurity, especially job insecurity and unemployment.
5. It leads to unhealthy rivalry or competition among investors/people.
6. Few individuals are enriched while many remain poor.
7. **Profit maximization at all costs:** Individuals are interested in making profit by all means.

Socialism

Socialism is also known as a centrally planned or controlled economic system. It is a system in which the means of production and distribution are owned and controlled by the state/government. Countries operating socialism include Poland, Mozambique, Ethiopia, Romania, Angola, Burkina Faso, etc.

Features of Socialism

1. **Joint Decision Making:** A greater number of people take collective decisions on what to produce, how to produce, and for whom to produce.
2. **State Ownership:** The state owns the means/factors of production.
3. **Promotion of Welfare:** The main aim of socialism is to provide goods and services for the welfare of the people.
4. **Non-market Economy:** The means of production are not purchased in the market, and not all goods produced are meant for sale.
5. **Equitable Distribution of Income:** Income is distributed equally among citizens.
6. **Optimum Utilization / Full Employment of Factors of Production:** Ensures efficient use of resources to produce desired goods.

Advantages of Socialism

1. **Equitable Distribution of Income:** Individuals do not own the means of production and therefore cannot control excess wealth at the expense of the majority.
2. Absence of exploitation.
3. **Centrally Planned Market:** The government takes decisions on goods and services produced and their market.
4. **Choice of Production:** Consumers have a wide choice as to what is produced.
5. Prevention of private monopoly.
6. Equitable distribution of resources.
7. **Economic Security:** Employment and jobs for citizens are guaranteed and secured.
8. Increased employment opportunities.

Disadvantages of Socialism

1. Absence of alternative choices. Consumers have to take what is produced since there is no alternative choice of goods.
2. Creates room for laziness, since government provides everything for the people.
3. Reduces individual initiatives, because people depend on government for whatever they need.
4. Leads to monopoly, as the state provides all essential goods and services.
5. Difficulty in estimating wants, since people's needs change over time and differ across individuals.
6. May give rise to dictatorship.
7. Absence of competition.

Mixed Economy

This is an economic system in which the means of production and distribution are owned and controlled by both private individuals and the state/public/government. Countries operating this system include Nigeria, Britain, Egypt, Kenya, Tanzania, Mexico, etc.

Features of Mixed Economy

1. **Freedom of Choice:** Consumers, workers, and property owners have freedom of choice.
2. **Economic Freedom:** There is freedom of production, distribution, and consumption.
3. **Joint Decision:** Decisions on what to produce and how to distribute are taken by both private and public sectors.
4. **Fair Competition:** Due to the presence of both private and state ownership.
5. **Government Role:** The government monopolizes the provision and ownership of essential resources.

Advantages of Mixed Economy

1. Ensures equitable distribution of incomes.
2. Ensures and promotes job security and employment.

3. Combines the good qualities of capitalism and socialism.
4. Ensures economic development.
5. Provides freedom of choice from a wide range of options.
6. Encourages private initiatives.

Disadvantages of Mixed Economy

1. Wealth is not distributed equally, creating a wide gap between the rich and the poor.
2. Profit maximization is often more paramount than the welfare of citizens.
3. Lack of efficiency due to state involvement.
4. High rate of corruption and mismanagement of resources.
5. Labour is usually exploited heavily.

Assignment

1. Differentiate between a capitalist and socialist economic system.
2. Explain the characteristics of a mixed economy.
3. Discuss the advantages and disadvantages of a command (socialist) economy system.

WEEK 4 - LABOUR MARKET

LABOUR

Labour is often defined as the physical or mental effort exerted by human beings in the production of goods and services. In neoclassical economics, labour is a broader concept that incorporates all human activity that adds value to a product or service. This includes not only physical and mental effort but also the use of tools, machines, and other equipment. It also covers the time spent on planning, organizing, and supervising production.

In certain economic models, labour is assumed to be a homogeneous input. This means that all workers are assumed to have the same skills, abilities, and productivity. However, labour is not homogeneous in real life. Workers differ in their skills, abilities, experience, and motivation. These differences can lead to different amounts of output per hour of work, even when all other inputs are the same.

MARKET

Market refers to a means by which the exchange of goods and services takes place as a result of buyers and sellers being in contact with one another, either directly or through mediating agents or institutions. Markets, in the most literal and immediate sense, are places in which things are bought and sold.

In the modern industrial system, however, the market is not a place; it has expanded to include the whole geographical area in which sellers compete with each other for customers. Alfred Marshall, whose *Principles of Economics* (first published in 1890) was for long an authority for English-speaking economists, based his definition of the market on that of the French economist A. Cournot.

Economists understand by the term "Market," not any particular marketplace in which things are bought and sold, but the whole of any region in which buyers and sellers are in such free intercourse with one another that the prices of the same goods tend to equality easily and quickly.

LABOUR MARKET

The term labour market refers to the supply of and demand for labour services. It is a market

where workers compete for jobs and employers compete for workers. The supply and demand for labour are determined by a series of factors, including the actual amount of work to be done, the number of workers available or able to do the work, and the level of wages that workers are willing to accept.

THE CONCEPT OF LABOUR FORCE

The labour force, or workforce, is the total number of people within a given population who are currently employed plus the number of people who are unemployed and actively seeking work. They are normally found within the age bracket of 18 to 65 years.

To be a member of the labour force one must be of working age (18–65 years), be able-bodied (i.e., not handicapped either mentally or physically), and must be willing to work.

PERSONS THAT ARE NOT MEMBERS OF THE LABOUR FORCE

A person is outside the labour force, according to the International Labour Organisation definition, if he or she is not part of the labour force, meaning he or she is neither employed nor unemployed.

The set of people outside the labour force is also called the "inactive population" and can include pre-school children, school children, students, pensioners, the elderly (above 65 years), and housewives or housemen, for example, provided that they are not working at all and not available or looking for work either. Some of these may still be of working age.

FACTORS AFFECTING THE SIZE OF LABOUR FORCE

1. **Age** – The size of the labor force is influenced by the age distribution of the population. As the population ages, the labor force may shrink, as more people retire and fewer people enter the workforce.
2. **Sex** – The labor force can also be influenced by gender differences, as certain industries or occupations may be more male- or female-dominated.

3. **Occupation** – The size of the labor force can be affected by the types of jobs available in a particular area or industry. For example, if there are more job opportunities in a certain field, it may attract more people to that industry and increase the size of the labor force.
4. **Education** – Education levels can also impact the size of the labor force, as people with higher levels of education may be more likely to enter certain professions or industries.
5. **Migration** – The rate of migration can also affect the size of the labour force. If the rate at which the working population leaves a country is higher than the rate at which people come in, it will lead to a reduction in the supply of labour.

EFFICIENCY OF LABOUR

Efficiency of labour can be defined as the ability of labour to increase output without increasing the level of input or the quantity of labour. Efficiency of labour refers to the ability of an employee to complete one task given within the time and without any wastage of resources.

Efficiency of labour implies the quality and quantity of goods and services which can be produced within a given time and under certain conditions. In other words, the productive capacity of a worker is termed as efficiency of labour.

FACTORS AFFECTING EFFICIENCY OF LABOUR:

The efficiency of labour depends on the following factors:

- (i) **Climatic factors:** Climatic differences also affect the efficiency of labour. Working under extreme climatic conditions is always more difficult than working in the temperate zones.
- (ii) **Geographical differences:** Locational differences also sometimes play a significant role. A person who has been born and brought up in the plains will find it hard to display much efficiency if he is forced to work at high-altitude hilly areas.

(iii) **Mental abilities:** Mental abilities are also important. General training helps a worker in assimilating new skills and technical knowledge. Moral qualities also play a role in this connection. A worker is likely to be more efficient the greater his sense of discipline, self-respect, self-sufficiency, punctuality, etc.

(iv) **Favourable working conditions:** A healthy and conducive work environment increases the level of efficiency. The facilities enjoyed by the worker determine labour efficiency to a significant extent. Employer-employee relations also play an important part in the work environment. An employer, therefore, can contribute to labour efficiency by building a cordial relationship with his workers.

(v) **Promotion:** Frequent promotions of workers in any organisation can lead to an increase in the efficiency of labour.

(vi) **Education and training:** An educated worker understands their job better than those who are not educated. Therefore, his or her output will be good.

(vii) **Personal qualities:** Qualities like mental fitness, intelligence, soberness, resourcefulness, being a team player, and being responsible are building blocks of efficient labour.

MOBILITY OF LABOUR

Labour or worker mobility is the geographical and occupational movement of workers. Labour mobility refers to the ease with which labourers are able to move around within an economy and between different economies. It is an important factor in the study of economics because it looks at how labour, one of the major factors of production, affects growth and production.

TYPES OF MOBILITY OF LABOUR

There are two primary types of labour mobility: geographic and occupational.

- **Geographic mobility** refers to a worker's ability to work in a particular physical location. For example, a worker moving from Nigeria to the United States illustrates the concept of geographic mobility. Geographical mobility of labour refers to the movement of workers

from one location to another in search of employment or better job opportunities. The following are the factors affecting geographical mobility of labour.

- **Occupational mobility** refers to a worker's ability to change job types. For example, an automobile mechanic who changes jobs to become an airline pilot reflects the concept of occupational mobility.

FACTORS AFFECTING GEOGRAPHICAL MOBILITY OF LABOUR

Geographical mobility of labour refers to the movement of workers from one location to another in search of employment or better job opportunities. The following are the factors affecting geographical mobility of labour:

1. **Economic factors:** Economic factors such as unemployment, job opportunities, and income levels can influence the decision of workers to move from one place to another. A high unemployment rate in a particular area and the availability of better job opportunities in other regions can lead to an increase in geographical mobility of labour.
2. **Social factors:** Social factors such as family ties, social networks, and the presence of cultural and ethnic communities can also impact the geographical mobility of labour. Workers may be more likely to move to a place where they have friends, family members, or belong to a similar cultural or ethnic group.
3. **Political factors:** Political factors such as government policies, political stability, and the level of civil liberties can also affect the geographical mobility of labour. Workers may be reluctant to move to regions that are politically unstable or where their basic rights and freedoms are not protected.
4. **Physical factors:** Physical factors such as climate, geography, and natural disasters can also play a role in the geographical mobility of labour. For example, workers may be more likely to move to regions with a milder climate or regions that are less prone to natural disasters.
5. **Technological factors:** Technological advances can also impact the geographical mobility of labour. For instance, the widespread availability of telecommunication and internet technologies can allow workers to carry out their work from remote locations, reducing the need for geographical mobility.

FACTORS AFFECTING OCCUPATIONAL MOBILITY OF LABOUR

- The facilities for training and retraining
- Wage differentials
- Job security
- Future prospects
- Fringe benefits, etc.

OBSTACLES OF MOBILITY OF LABOUR:

There are many factors which hinder mobility of labour. They are differences in climate, religion, habits, language, customs, tastes, etc. The other factors are illiteracy, ignorance, indebtedness, attachment to property and place, poverty, economic backwardness, lack of means of transport and communications, and employment opportunities, etc.

ASSIGNMENT

1. Explain efficiency of labour force.
2. Enumerate the factors affecting the size of labour force, particularly the population characteristics.

WEEK 6 - ELEMENTARY TREATMENT OF UTILITY THEORY

Elementary Treatment of Utility Theory

Utility is the amount of satisfaction an individual or consumer derives from the consumption of a commodity or service at a particular time. A commodity or service possesses utility if the commodity is able to satisfy the consumer at that particular time. Utility is a relative term, meaning that what gives satisfaction to an individual may not give satisfaction to another person.

Types of Utility

The three types of utility are listed below:

1. Time utility
2. Form utility
3. Place utility

Time Utility

This is the ability of a commodity or service to satisfy a consumer's wants at a particular time. This means that a commodity or service does not satisfy wants all the time. It has to do with the storage of goods until the time they are needed.

Form Utility

This is the transformation of a commodity from one form to another for the commodity to satisfy consumer wants. The change during the product manufacturing process increases its utility. For instance, flour does not satisfy the wants of consumers until it is changed to bread, cake, chin-chin, etc.

Place Utility

Place utility involves moving commodities from one location where utility is less to another place where utility or demand is high. For instance, cocoa is produced in West Africa and transported to Europe where it satisfies industrial needs. Yam can be moved from farm to market where it would be bought.

Concept of Marginal Utility, Total Utility and Average Utility

Total Utility (TU)

Total utility is the total amount of satisfaction a consumer derives from the consumption of a particular commodity at a point in time. The amount of satisfaction received from the consumption of goods does not increase at an equal rate to the quantity of goods supplied. The consumer has the saturation point in the consumption of a commodity at a given time.

The teacher further illustrates TU using a curve. The formula for calculating total utility is:

$$\text{TU} = \text{AU} \times \text{Q}$$

Marginal Utility (MU)

Marginal utility means the additional or extra satisfaction a consumer derives from the consumption of an additional unit of output. Marginal utility is the change in the total utility as a result of consumption of an additional unit of a commodity. MU is illustrated in a diagram for better understanding.

The formula for calculating MU is:

$$\text{MU} = \text{Change in Total Utility} \div \text{Change in Quantity}$$

Average Utility (AU)

Average utility is the amount of satisfaction a consumer derives from the consumption of a unit of commodity. Average utility is obtained by dividing the total utility by the number of commodities consumed.

That is:

$$\text{AU} = \text{TU} \div \text{Q}$$

Relationship between Total and Marginal Utility

1. TU and MU increase up to a point, after which further increase in TU leads to a decrease in MU.
2. MU is the difference between two consecutive TU.

3. When TU is decreasing, MU is negative.
4. The summation of all MU is equal to TU.

Total Utility and Marginal Utility Schedule

Q	TU	MU	AU
1	10	—	10
2	16	6	8
3	20	4	6.7
4	23	3	5.8
5	25	2	5.0
6	22	-3	3.7

The Law of Diminishing Marginal Utility

The law of diminishing marginal utility states that as a consumer consumes more and more of a particular commodity, utility (satisfaction) will increase up to a certain point and then start decreasing as a result of continuous consumption of the same commodity.

For instance, as a thirsty child keeps drinking water, the satisfaction keeps increasing up to a point and then starts decreasing as more water is consumed.

Illustration of the Law of Diminishing Marginal Utility:

Q	TU	AU	MU
1	10	10	—
2	18	9	8
3	24	8	6
4	28	7	4
5	30	6	2
6	31	5.2	1

7	31	4.4	0
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The Concept of Origin

The concept of origin is the smallest (minimum) quantity of a commodity which must be consumed before the commodity can yield any satisfaction to the consumer. For instance, a drop of water cannot give any reasonable level of satisfaction to a thirsty student. There is a minimum quantity that must be taken before the student can start deriving satisfaction.

Utility Maximisation

Utility maximisation, also known as equilibrium of the consumer, is a point where a consumer derives maximum satisfaction. A consumer derives maximum satisfaction when his marginal utility is equal to the price of the commodity consumed.

That is:

$MU_x = P_x$ (if the consumer consumes only one commodity).

If the consumer consumes more than one commodity, he maximises his utility thus:

$MU_a/P_a = MU_b/P_b = MU_c/P_c = \dots = MU_n/P_n$

Derivation of Demand Curve from Utility Theory

The derivation of the demand curve is based on the true statement of diminishing marginal utility. The demand curve, therefore, has a close resemblance with that of the marginal utility curve. This is a result of the fact that an expectation of an increase in satisfaction from a commodity affects demand and vice versa.

This can be illustrated with a demand curve and marginal utility curve as shown on the board.

Consumer Surplus

Consumer surplus is the difference between the amount a consumer budgeted to pay for a commodity based on the expected level of satisfaction and the amount he actually paid to have the commodity.

That is, the difference between the expected or budgeted amount of a commodity and the actual amount of the commodity.

For instance, if a student budgets ₦2,000 for a pair of sandals and, on getting to the market, the sandals cost ₦1,500, his surplus is ₦500. This is illustrated in a graph on the board.

The Concept of Indifference Curves

An indifference curve is the curve which shows the possible combinations of two commodities, with each combination yielding the same level of satisfaction to the consumer. The combinations of two commodities give the consumer the same level of satisfaction such that the consumer is indifferent as to which particular set of combinations he prefers.

It does not matter to the consumer which combination he gets. If he gets combination X instead of combination Y, he will not feel any better off.

It is worthy to note that:

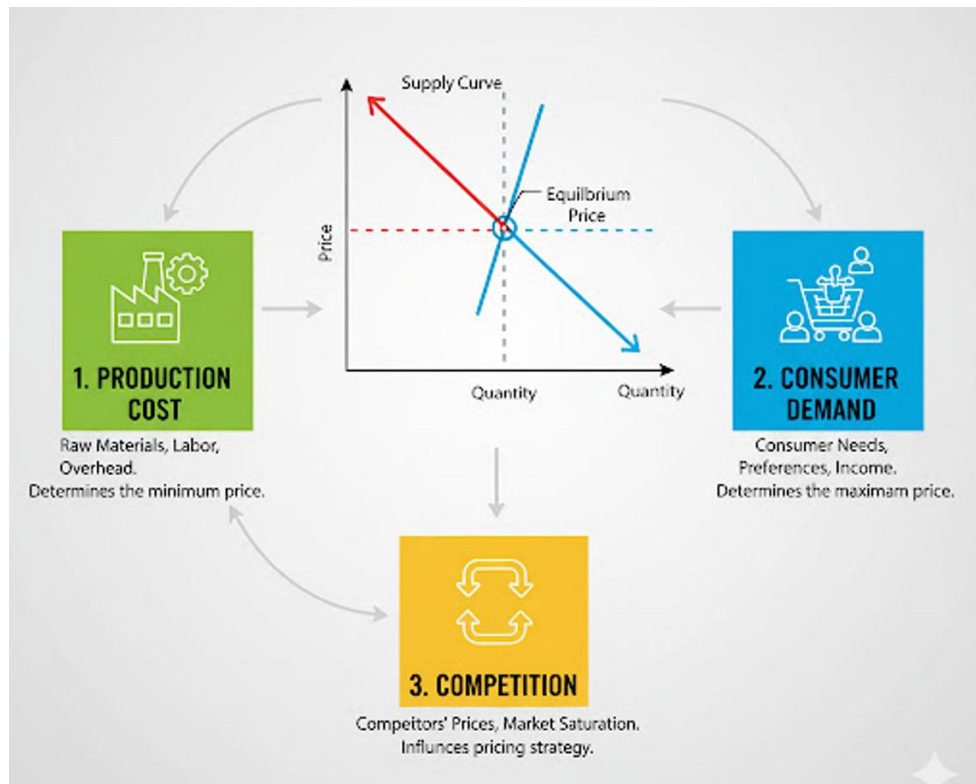
- Indifference curves indicate higher and higher levels of satisfaction.
- Indifference curves cannot intersect, since two different indifference curves represent two different levels of satisfaction which can never be equal.

This is further illustrated in graphs for better understanding.

Assignment

1. Explain the law of diminishing marginal utility and its implication for consumer behaviour.
2. Discuss the concept of utility and its measurement in economics.

WEEK 8 - PRICE DETERMINATION



Price is determined in a free market economy by the interaction of the forces of demand and supply.

The determination of price through the interaction of the forces of demand and supply is what is referred to as the price system or price mechanism.

The price system may therefore be defined as that which determines the rate at which goods and services are produced, exchanged, and distributed.

Equilibrium Point

Equilibrium point is the point where the demand curve intersects the supply curve.

Equilibrium Price

Equilibrium price is that price at which the quantity of goods demanded is equal to the quantity of goods supplied.

Equilibrium Quantity

Equilibrium quantity is the quantity at which quantity demanded is equal to quantity supplied in a curve or schedule.

Equilibrium point, price, and quantity are shown in a schedule below:

PRICE (#)	Qs (kg)	Qd (kg)
25	20	100
20	40	80
15	60	60
10	80	40
5	100	20

From the schedule above, equilibrium price is **#15.00** while equilibrium quantity is **60 kg of yam**.

The above schedule is also illustrated in a graph on the board for students to note how to determine equilibrium price, equilibrium quantity, and equilibrium point.

Mathematical Approach to Equilibrium Price and Quantity

Demand and Supply functions are equations showing the functional relationship between quantities and other variables.

E.g.

- $Q_d = 35 - 1/2p$
- $Q_s = 20 + 1/4p$

Determination of Equilibrium Price and Quantity Using Demand and Supply Functions

Class Activities

1. $Q_d = 40 - 4p$
 $Q_s = 12p - 24$

- a. Determine equilibrium price and quantity.
 - b. If $p = \$6.00$, what is the excess supply over demand?
2. $D = 20 - 1/6p$
 $S = 18 - 1/8p$
- a. Determine the equilibrium price and quantity using the equation above.

Changes in Equilibrium Price

Changes in demand and supply lead to a change in the equilibrium price.

The market equilibrium price can be affected in four ways:

1. An increase in demand
2. A decrease in demand
3. An increase in supply
4. A decrease in supply

Increase in Demand

If the demand for a commodity increases while its supply remains constant, there will be an excess demand over supply.

This will lead to an increase in the equilibrium price of the commodity as well as an increase in the equilibrium quantity.

This is illustrated in a diagram.

Decrease in Demand

If the demand for a commodity decreases while its supply remains constant, there will be an excess of supply over demand.

This results in a decrease in the equilibrium price and quantity of the commodity.

This is typically illustrated in a diagram for better understanding.

Increase in Supply

If the supply increases while demand remains constant, there will be an excess of supply over demand.

This will bring about a decrease in equilibrium price of the commodity and an increase in the equilibrium quantity.

This is further illustrated in a graph.

Decrease in Supply

A decrease in supply without any change in demand will lead to an excess of demand over supply, making the equilibrium price increase and the equilibrium quantity decrease.

This is also illustrated in a graph and further explained.

Laws of Demand and Supply

The five laws of demand and supply are listed below:

1. The lower the price, the higher the quantity demanded, and the higher the price, the lower the quantity demanded.
2. The higher the price, the higher the quantity supplied, and the lower the price, the lower the quantity supplied.
3. The price at which quantity demanded is equal to quantity supplied is known as equilibrium price.
4. An increase in quantity demanded will cause an increase in both equilibrium price and the quantity supplied, while a decrease in demand will cause both equilibrium price and the quantity supplied to fall.
5. An increase in the supply of a commodity will cause the equilibrium price to fall and quantity demanded to rise, while a decrease in supply will cause equilibrium price to rise and quantity demanded to fall.

Types of Demand

The four types of demand are as follows:

1. Derived demand
2. Joint or complementary demand
3. Competitive demand
4. Composite demand

Derived Demand

This type of demand occurs as a result of demand for other commodities.

The demand for one commodity makes the demand for another commodity necessary.

For instance, demand for road construction brings about the demand for labour. Flour and sugar are demanded because there is a demand for bread.

Joint or Complementary Demand

This type of demand occurs when two commodities that are related to each other are demanded at the same time.

Examples include bread and butter, tea and milk, car and petrol, etc.

Competitive Demand

When two commodities are fairly close substitutes for each other, they are in competitive demand.

In other words, they serve the same purpose.

An increase in the demand for one commodity will result in a decrease in the demand for the other.

For instance, Omo and Elephant detergent, Klin and Ariel, butter and margarine, etc.

Composite Demand

Demand is said to be composite when a commodity is required to serve two or more purposes.

For instance, sugar is used in the home for beverages as well as in industries for making pastries and confectionery.

If the industrial demand for sugar increases, it will affect the quantity of sugar demanded in the home.

Types of Supply

The three types of supply are listed below:

1. Joint or complementary supply
2. Competitive supply
3. Composite supply

Joint or Complementary Supply

This occurs when two or more commodities are produced and supplied from one source.

An increase in the production and supply of one will automatically bring about an increase in the production and supply of the other commodities that are produced from the same source.

For instance, an increase in the production and supply of petrol can also lead to an increase in the supply of kerosene.

Competitive Supply

This type of supply occurs when many commodities are supplied to satisfy a particular want.

It is the supply of two or more commodities that serve as substitutes for one another.

Examples: Ariel and Klin, butter and margarine, fish and meat, Close-up and Macleans, etc.

Composite Supply

This type of supply occurs when a certain commodity can serve two or more purposes.

The supply of the commodity for one purpose will affect the supply of the commodity for another purpose.

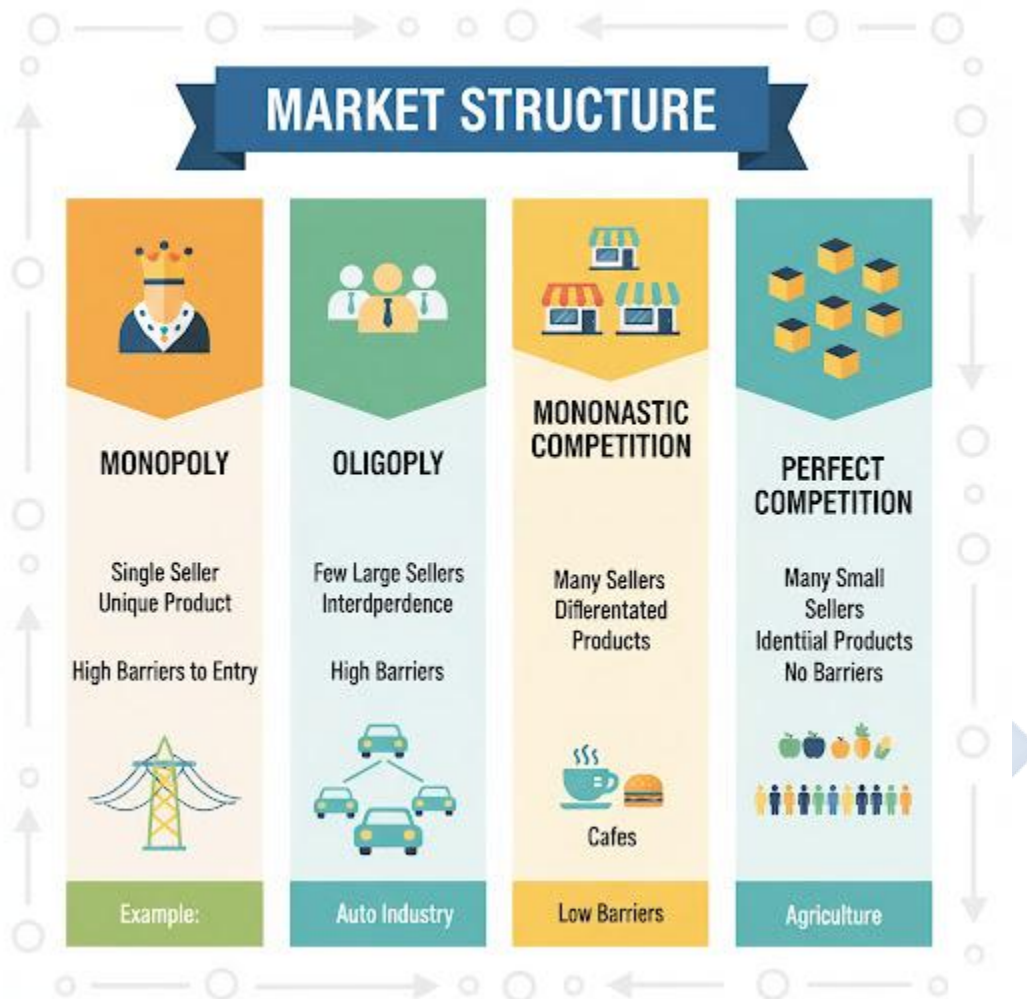
For instance, the supply of crude oil for the production of petrol will greatly affect the production of kerosene.

Assignment

1. Explain the concepts of supply and demand in price determination.
2. Analyse the impact of change in demand and supply on market equilibrium.



WEEK 9 - MARKET STRUCTURE



In economics, the term *Market* can be defined as any arrangement, system, or organization whereby buyers and sellers of goods and services are brought into contact with one another for the purpose of transacting business.

Types of Market

Markets could be classified on the basis of the type of commodities bought and sold, or on the basis of the channel of movement, or on the basis of prices.

Markets based on types of commodities include labour market, consumer goods market, capital market, and money market.

Markets according to prices are: perfect and imperfect markets.

TYPES OF MARKET ACCORDING TO PRICES

1. PERFECT MARKET

A perfect market is a market structure in which prices are determined by the forces of demand and supply. Demand and supply operate without interference by the government or its agencies.

Perfect competition exists if the following features or conditions are present:

Features of a Perfect Market

1. Homogeneous commodity: The commodities must be identical, i.e. the same size, shape, and colour. Trademarks or branding must not be used to differentiate a particular product. For example, tea should be written as tea and not Top Tea or Lipton.
2. There is a large number of buyers and sellers, none of whom has control over the ruling price.
3. All buyers must have perfect knowledge of all the market transactions.
4. There must be free entry and exit for all buyers and sellers.
5. The cost of moving goods is assumed to be zero.
6. All the firms have identical cost structures. They incur the same costs in producing a commodity.

A perfect market does not exist in reality but is a theoretical concept. Most markets in existence are imperfect in nature.

2. IMPERFECT MARKET

An imperfect market may be defined as the market in which prices of goods and services can easily be influenced by the sellers or buyers. Imperfect market is also called *imperfect competition*.

Features of an Imperfect Market

1. The goods are heterogeneous. The goods sold are not identical and are altered by the use of trademarks and branding.
2. There are few buyers and sellers, therefore prices can be influenced.
3. There is no free flow of information in the market.
4. Preferential treatment exists in an imperfect market. The producer could sell at a lower price to some and at higher prices to others.
5. There is no free entry into and exit from the market.
6. Transport costs are incurred in moving goods and factors of production.

Types of Imperfect Market

1. **Monopolistic Competition:** This is a market situation where there are many sellers or producers selling or producing non-homogeneous commodities.
2. **Oligopoly:** This is a market situation where there are few producers or sellers of the same commodity.
3. **Duopoly:** This is a market situation in which there are only two sellers or producers of a commodity.
4. **Monopsony:** This is the type of market in which there is only one buyer for a product e.g. commodity boards.
5. **Oligopsony:** This is a market where there are few buyers and many sellers of a commodity.

MONOPOLY

Monopoly may be defined as a market situation where there is only one producer or supplier of a particular good or service that has no substitute. The monopolist has the power to influence the price of goods in his favour.

The goods sold by a monopolist are normally differentiated.

Causes of Monopoly

- i. **Act of Parliament:** This is a legal instrument by the government conferring special monopoly on some organization to produce or supply certain goods or services e.g. public corporation.
- ii. **Patent Law:** This law confers on a firm special privilege to protect its new invention.
- iii. **Natural Cause:** Nature does not distribute resources evenly; as a result, there are some areas that have resources which other areas do not have e.g. crude oil in Niger Delta.
- iv. **Merging of Producers:** The merging of producers will make them stronger to be able to eliminate other competitors in the business.
- v. **Protection of Public Interest:** Deliberate effort to protect public interest by the government may confer certain monopoly on some firms e.g. power holding company.
- vi. **Level of Technology:** When a firm develops a high level of technology which makes goods cheaper, this may force other competitors out of production.

Advantages of Monopoly

1. Overproduction is reduced: The monopolist estimates demand more accurately and tries to produce the quantity required by the consumers.
2. Duplication of resources is avoided.
3. There may be greater efficiency and full utilization of productive resources.
4. Production costs and prices may be reduced: Since he is the only producer, he is likely to produce on a larger scale which would lead to lower cost per unit.
5. Research and invention may be stimulated.

Disadvantages of Monopoly

- i. Exploitation of consumers: This is made possible since he is the only seller of the commodity.
- ii. It leads to hoarding: The desire for supernormal profit by the monopolist may lead to restriction in output and hoarding.
- iii. Decline in efficiency: Due to lack of competition the monopolist may become less innovative and enterprising.
- iv. Restriction of consumers' choice: The monopolist is the only seller available so there are no other options of sellers or similar commodities available.

v. Exertion of political interest: Large monopolies could pressurize the government to pass laws to protect their interests.

Control of Monopoly

1. Provision of substitute products: Monopolies exist because their products have no substitute.
2. Privatisation: Private individuals should be encouraged to take over government corporations and agencies in order to eliminate monopoly.
3. Stoppage of issuance of patent law: The stoppage will encourage more people to compete with the inventor.
4. Discouraging merging of firms.
5. Reduction of tariffs.

Price and Quantity Determination Under Perfect Competition

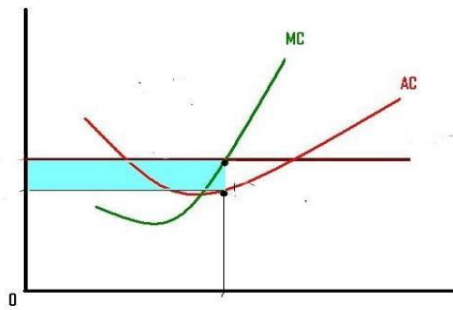
In a perfect market, also known as a competitive market or perfect competition, the buyers or sellers cannot influence the prices of goods and services. This is because there are many buyers and sellers or firms in the market. Price and quantity are determined by the interaction of the forces of demand and supply.

The perfect competitor produces the most profitable output where his marginal cost equals marginal revenue. Any production beyond this point will lead to lower profits because the marginal cost of production will be higher than the marginal revenue.

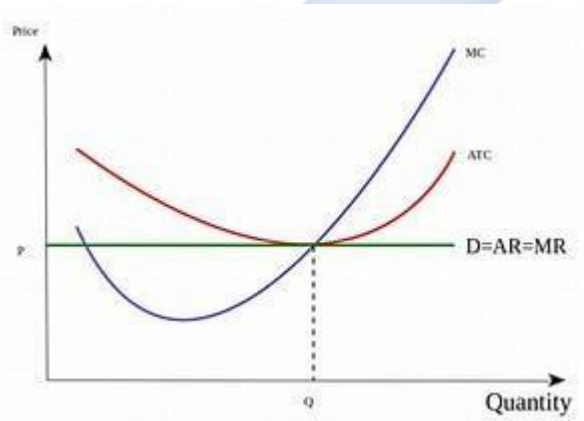
Short Run and Long Run Position of a Perfect Competitor

In the short run, his marginal and average cost of production falls with increasing output. He can therefore sell at a higher price than his marginal cost of production, thereby earning abnormal profit.

The rectangle ABCD in the diagram below represents the abnormal profits where price or average revenue is higher than average cost of production.



The perfect competitor can only make normal profits in the long run as he is in equilibrium. Equilibrium is attained when $MC=MR=AC=AR=P=D$. He makes maximum profits at the point where $MC=MR$.



Price and Quantity Determination Under Monopoly

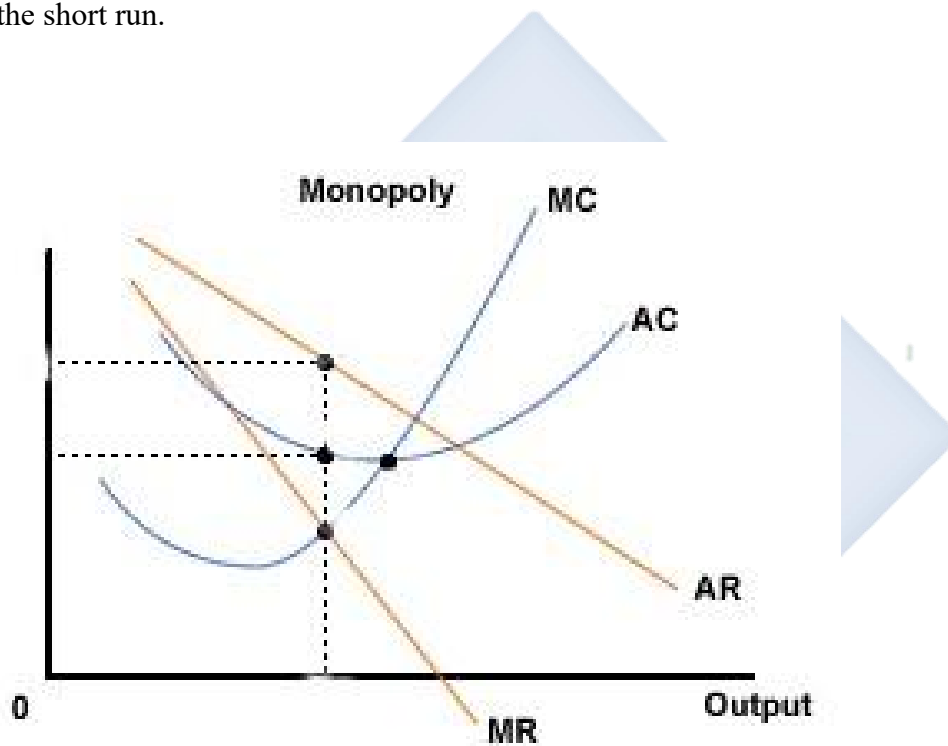
A monopolist has the power to control either price or output. This is due to the fact that he is the only producer or supplier of a particular commodity. During periods of low demand, he can restrict output by leaving some factors of production idle or by hoarding to maintain high prices.

During periods of high demand, he would increase output in order to make high profits. He makes maximum profits where marginal costs equal marginal revenue. The monopolist will consider the elasticity of demand for his commodity to fix prices. If the demand is inelastic, he

will charge higher prices, but if the demand is elastic, he will charge lower prices in order to earn higher revenue and profits.

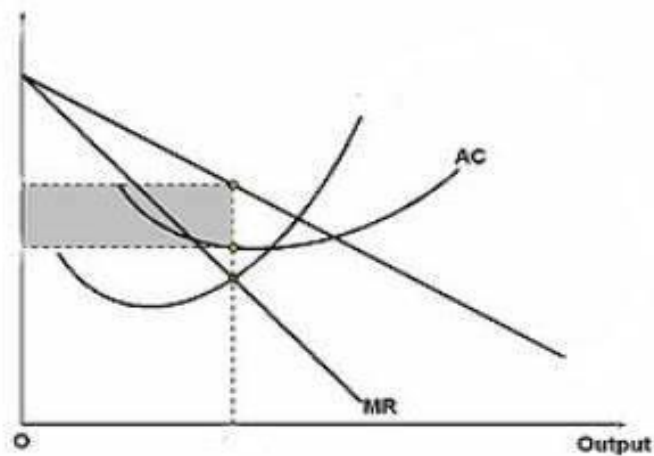
Short Run and Long Run Position of a Monopolist

The monopolist has a downward-sloping demand curve. This makes it possible for him to make abnormal profits in the short run and in the long run by either increasing or decreasing supply. In the diagram below, EDFG represents the abnormal profits of the monopolist both in the long run and in the short run.



Oligopoly Price and Quantity Determination

If an industry is composed of few firms each selling identical or homogeneous commodities and having powerful influence on the total market, the price and output policy of each is likely to affect the other therefore they will try to promote collusion. The demand curve would be elastic. The optimum price for a collusive oligopolistic is shown at point G. The price is identical to the monopoly price, it is above MC and earns the colluding oligopolistic a handsome monopoly profit.



In case there is product differentiation an oligopolistic can raise or lower his prices without any fear of losing customers or of immediate reactions from his rival.

Assignment:

1. What is a market structure?
2. List four types of market structures.
3. Explain two features each of:
 - i. Perfect competition
 - ii. Monopoly
4. Why is a monopolist called a price maker

WEEK 10 - INDUSTRIES IN NIGERIA

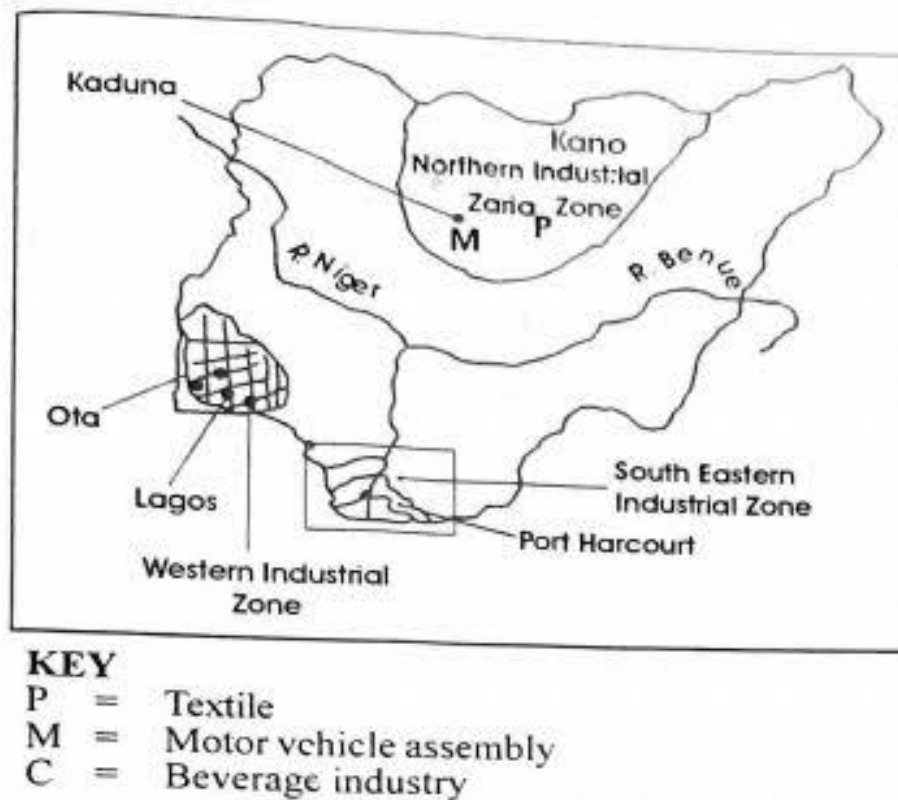
Industries in Nigeria

Industries refer to sectors of economic activity where businesses engage in the production of goods or the provision of services. These activities are often grouped based on similarities in the products or services they offer. Industries play a crucial role in the overall economy and can be categorized into primary, secondary, and tertiary sectors.

Nigeria has a diverse range of industries, broadly classified into four main sectors:

1. **Primary Sector:** Involves the extraction and production of raw materials, such as agriculture, mining, and forestry.
 - i. *Agriculture:* Nigeria has a significant agricultural sector, with crops like cocoa, cassava, palm oil, and rubber being major contributors.
 - ii. *Mining:* Rich in natural resources, Nigeria has an active mining industry, extracting oil, natural gas, coal, and various minerals.
2. **Secondary Sector:** Encompasses manufacturing and construction, where raw materials are processed into finished goods.
 - i. *Manufacturing:* Industries such as textiles, cement, food processing, and automobile assembly contribute to the manufacturing sector.
 - ii. *Construction:* The construction industry plays a crucial role in infrastructure development.
3. **Tertiary Sector:** Involves services and includes activities like banking, education, healthcare, and telecommunications.
 - o *Services:* Dominating the economy, services include telecommunications, banking, education, healthcare, and tourism.
4. **Emerging Sectors:** Emerging sectors in Nigeria represent areas where new technologies, business models, or trends are shaping the industry's future.
 - i. *Technology:* The technology industry is growing, with a focus on software development, IT services, and startups.
 - ii. *Renewable Energy:* Nigeria is investing in renewable energy sources like solar and wind power.

Major Industrial Zones in Nigeria and Associated Industries



1. North Central Zone:

Abuja (Federal Capital Territory): While primarily administrative, it has some emerging industries, including information technology and services. Other states like Nasarawa, Niger, Kogi, Kwara, Plateau, and Benue have various industries, including agriculture, solid minerals processing, and services.

Note: Kano is not really a North Central zone, but it has a long-standing history in manufacturing and is known for textile industries, tanneries, and food processing.

2. Midwestern Zone (South-South and South-Southwest):

Edo State is popularly known for oil and gas activities, with industries related to petroleum and petrochemicals. Delta State has a significant oil and gas presence, with oil refineries and petrochemical industries.

Port Harcourt (Rivers State) is also a key player in the oil and gas sector, with refineries and petrochemical industries. The Bonny LNG terminal is also a major presence.

3. **Western Zone (Southwest):**

Lagos State is a major economic hub, hosting a range of industries including manufacturing, finance, technology, and media.

- Ikeja is known for electronics and electrical goods manufacturing.
- Apapa hosts the country's largest seaports, supporting shipping and logistics industries.

Ogun State, particularly around the Ota and Agbara axis, is an industrial center with various manufacturing activities, including pharmaceuticals and consumer goods.

Problems of Manufacturing Industries in Nigeria

1. Infrastructure challenges: Inadequate infrastructure, such as unreliable power supply and poor transportation networks, can hamper industrial growth.
2. Policy environment: Changes in government policies, regulations, and economic policies can impact industries positively or negatively.
3. Security concerns: Security issues, particularly in certain regions, can disrupt industrial operations and investments.
4. Access to finance: Limited access to funding for businesses, especially small and medium enterprises (SMEs), can hinder their growth and expansion.
5. Global economic trends: Nigeria's industries are influenced by global economic conditions, affecting trade, commodity prices, and foreign investment.
6. Skilled labor shortages: Industries may face challenges due to a lack of skilled labor, impacting productivity and innovation.
7. Dependency on oil: Nigeria's heavy reliance on oil revenue can make its economy vulnerable to fluctuations in global oil prices.

Possible Solutions to Problems of Manufacturing Industries in Nigeria

1. Invest in renewable energy sources, improve transportation networks, and collaborate with the government and private sector to address infrastructure gaps.

2. Advocate for stable and transparent policies, engage in constructive dialogue with policymakers, and participate in industry associations to influence policy decisions.
3. Encourage financial institutions to develop tailored financing options for manufacturing, seek international funding, and support government initiatives promoting access to finance for businesses.
4. Collaborate with educational institutions to tailor training programs to industry needs, offer apprenticeships, and engage in continuous skills development for existing employees.
5. Promote exports by improving product quality, complying with international standards, and engaging in trade agreements. Advocate for favorable trade policies to enhance market access.
6. Encourage local sourcing of raw materials, support local suppliers, and work with the government to develop policies promoting a sustainable and reliable supply chain.

Assignment

1. Identify 5 problems of manufacturing industries in Nigeria.
2. Identify 5 possible solutions to the problems of manufacturing industries in Nigeria.